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Wealth Insight

May 2026

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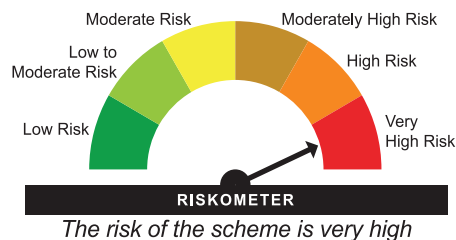
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All our stories are backed by quantitative data. To this, we add rigorous qualitative research obtained by speaking to a wide variety of stakeholders. We firmly stick to our belief of fundamental research and value-oriented approach as the best way to earn wealth in the stock market. Equally important to us is our unwaveringly focus on long term planning.

Simplicity is the hallmark of our style. Our writing style is simple and so is the presentation of ideas, but that should not be construed to mean that we over-simplify.

Read, learn and earn and let's grow and evolve as we undertake this voyage together.

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34 Cover Story

GREAT COMPANIES PANIC PRICES

10 quality businesses the market
is currently mispricing



12 Sector Playbook

Indian pharma, decoded

Know what a pharma company actually does before investing in it

44 Interview

'The market is clearly far more attractive today'

Sailesh Raj Bhan
President & CIO – Equity Investments
Nippon India Mutual Fund



Contents

7 First Page
By **DHIRENDRA KUMAR**
Comfort is expensive

8 Market Reporter
Buzz of the month

15 ABCD ETF
Staying steady through market swings

16 Big Moves
The most significant price movements

20 Market Barometer
Temperature check

21 Index Watch
Sector snapshot



22 Stock Story
Striking gold

24 Words Worth Wisdom
The real-asset revival

26 Analyst's Diary
● **A gem under pressure**
● **Big payoff, long wait**
● **Efficient, cheap, overlooked**

32 Home Buyers' Guide
Bank's loss, your gain

48 Index Investor
● **The passive investing choice is not so passive**
● **Priced for perfection**



52 Stock Advisor
By **DHIRENDRA KUMAR**

Why Buffett sold his best



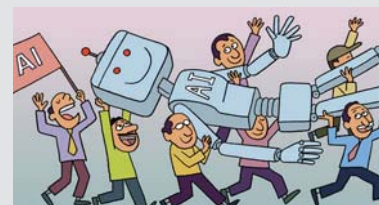
62 Stock Screen
Reasonably-priced growth

66 End Note
Down, not dusted

ALPHANSO



54
By **ANAND TANDON**
The dollar's twilight?



57
By **ASHISH MENON**
The market's misreading of Indian IT



60
By **ADVAIT ARORA**
When oil bites back



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May 2026 **Wealth Insight** | 5

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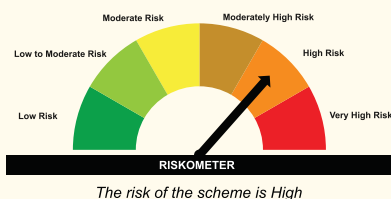
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Comfort is expensive

▶ Waiting for certainty is just another way of paying a premium

The Nifty 50 opened 3.5 per cent higher this morning (April 8, 2026). In the first 15 minutes of trade, the index added over 700 points. The trigger? A two-week ceasefire between the US and Iran, contingent on Iran reopening the Strait of Hormuz. Subsequently, Brent crude crashed 13 per cent overnight.

Television anchors smiled. Portfolio screens went green. The mood pivoted from dread to relief at a speed only financial markets can manage. But here is what no one on television is saying: the businesses rallying were the same ones that were available at steep discounts earlier. Their factories are producing the same goods. Their customers are placing the same orders. Their return on capital is exactly what it was seven days ago. Nothing has changed except the mood. And the mood, it turns out, was the only thing standing between investors and some exceptional prices. The underlying reality of these businesses was never in question. The factories did not slow down. The order books did not shrink. The competitive positions of the stronger companies remained fully intact. What changed was simply how investors chose to feel about information they already had right in front of them.

'Buy when there is fear' has become so common that it is almost meaningless. Everyone quotes it. Almost no one does it. And the few who try often do it badly, buying whatever has fallen the most, as if the

size of the decline were itself the investment thesis. It is not. Some stocks fall because the market is anxious. Others fall because the business is genuinely impaired. The discipline lies in separating the two. That is the real work, and it has nothing to do with courage. It requires research. It requires sitting with a balance sheet when the headlines are alarming and asking honestly whether the underlying numbers still make sense. Most investors find that task deeply uncomfortable, so they wait for someone else to confirm what the data is already quite clearly telling them.

Consider what the data was telling us before the ceasefire changed everyone's feelings. The Nifty 50 P/E had dropped to around 20, below its five-year median of 22. The index had corrected roughly 15 per cent from its September 2024 peak of 26,277. Mid and small caps had fallen harder: 20 per cent to 35 per cent in many cases. Every one of these is a number that, historically, has preceded strong returns for patient investors. The businesses had not changed. Only the prices had.

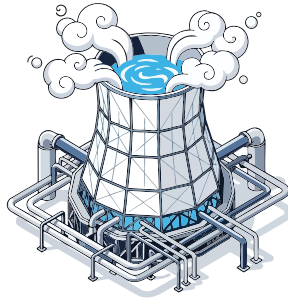
This morning's rally is the proof. The Nifty has already reclaimed a chunk of that discount in a single session. The investors who were waiting for clarity, for the geopolitical picture to settle, for comfort before committing capital, are now looking at higher prices for the same businesses they could have bought last week. This is how it always works. The comfort of consensus arrives only after the best prices have passed. Waiting for the world to feel safe is, and has always been, a reliable method of ensuring that you never buy anything cheaply.

Our cover story this month provides a framework for identifying quality businesses that were punished by a broad, indiscriminate correction. I would urge you to read it carefully. Use it as a starting point for your own analysis. Do not treat it as a final answer. Comfort is expensive. It always has been. The price of feeling good about a purchase is paying more. The investors who acted last week, when every headline screamed risk, bought the same businesses that everyone wants today. They just paid less.

Before the ceasefire, the Nifty 50 P/E fell to 20, below its five-year median of 22, while mid and small caps fell by 20-35 per cent in many cases. Each of these numbers has preceded strong returns for investors. The businesses hadn't changed. Only the prices had.

Adani Group to invest ₹33,081 crore in three Odisha projects

Adani Group will invest ₹33,081 crore in Odisha across three projects, expanding its presence in the state beyond ports, logistics and mining. The bulk, ₹30,181 crore, will go into a thermal power plant near Cuttack, followed by a ₹2,100 crore cement unit in the same region and an ₹800 crore data centre at Info Valley, Bhubaneswar, targeting AI and cloud demand.



Infosys to acquire two US firms for ₹5,150 crore in healthcare, insurance push

Infosys will acquire two US-based firms, Optimum Healthcare IT and Stratus, for up to ₹5,260 crore as it deepens its positioning in high-growth verticals of healthcare and insurance. Optimum, a Florida-based healthcare consulting firm, is being picked up for up to ₹4,280 crore, bringing provider-side digital transformation expertise. Stratus, a Guidewire specialist, is being acquired for up to ₹900 crore and strengthens Infosys' property and casualty insurance practice.



BHEL bags a ₹13,500 crore NTPC order for Telangana thermal project

State-owned BHEL has secured a ₹13,500 crore order from NTPC for the main plant package of the 2,400 MW Telangana Stage-II supercritical thermal power project, comprising three units of 800 MW each in Peddapalli district. The contract gives BHEL's power generation order book a significant boost and covers design, engineering, manufacturing, supply, erection, commissioning and testing, along with civil and structural works, with execution scheduled over 62 months.

EPL, Indovida merger to create packaging giant worth ₹18,000 crore

Packaging firm EPL, owned by Blackstone, will merge with Indorama Ventures' arm, Indovida India, to create a packaging giant valued at about ₹18,000 crore, with annual revenue of nearly ₹9,200 crore. The merged entity will derive 75 per cent of revenue from emerging markets with limited geographic overlap. Indorama will hold 51.8 per cent and Blackstone 16.6 per cent in the merged entity.



Govt sharply hikes windfall tax on diesel, aviation fuel exports

The Centre has raised taxes on diesel and aviation fuel exports after crude climbed above \$100 a barrel amid the West Asia conflict. Diesel export duty jumped to ₹55.5 per litre from ₹21.5 and ATF to ₹42 from ₹29.5. Petrol exports are exempt. This may compress oil marketing companies' margins.



KEC International wins ₹2,518 crore in new orders

KEC International has secured fresh orders worth ₹2,518 crore across its civil, transportation, transmission and distribution and cables businesses. The highlight is the civil segment's largest-ever commercial real estate order from a leading developer in Western India, broadening its client mix beyond government-led work. KEC International has also won a railway safety project under Indian Railways' Kavach programme and multiple overseas T&D orders across Africa, Europe and the Americas.



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Nazara to buy 50 per cent each in two Spain gaming firms for ₹930 crore

Nazara Technologies will acquire a 50 per cent stake each in Spain-based Bluetile Games and BestPlay Systems for ₹930 crore through its UK subsidiary. Bluetile brings a portfolio of casual mobile games, while BestPlay adds a rewarded engagement and cross-promotion platform. The acquisition gives Nazara a scaled entry into casual gaming and strengthens its capabilities across game development, user acquisition and live operations.



Bosch to buy safety systems arm in ₹9,069 crore group deal

Bosch Limited will acquire Bosch Chassis Systems India from its parent entities for around ₹9,069 crore, bringing the group's automotive safety systems business under the listed Indian arm. BCSI is a market leader in products such as anti-lock braking systems, electronic stability control and airbag control units. The deal will be funded through cash and preferential shares and strengthens Bosch India's push towards integrated vehicle safety systems.



Wipro lands ₹9,200 crore Olam deal, to pick up Mindsprint

Wipro has secured one of its largest deals in recent years, an eight-year transformation contract with Singapore-based food and agri-business major Olam Group worth over ₹9,200 crore with a committed spend of ₹7,360 crore.

Wipro will also acquire Olam's captive IT arm Mindsprint for ₹3,450 crore in an all-cash deal. Mindsprint will provide deeper farm-to-fork and supply chain capabilities to scale across Wipro Intelligence suite.



GAIL commits ₹3,800 crore to 700 MW captive solar capacity

GAIL India is investing ₹3,800 crore to build 700 MW of solar capacity across Uttar Pradesh and Maharashtra, scaling its renewable portfolio from 147 MW to over 1,000 MW. Both projects are meant for captive use (own consumption) rather than merchant sales. As part of the plan, a 600 MW plant at the TUSCO Solar Park in Jhansi will power GAIL's petrochemical operations, while the balance will feed the PDH-Polypropylene complex at Usar in Raigad.

Wipro board approves largest-ever buyback of ₹15,000 crore

Wipro's board has approved its biggest-ever share buyback of ₹15,000 crore. The IT major will repurchase up to 60 crore shares, or 5.7 per cent of its equity capital, at ₹250 apiece through the tender route, a premium of about 19 per cent to the prior closing price. The move extends Wipro's record of returning surplus cash to shareholders. The buyback will take effect after shareholder approval.



BPCL arm to invest ₹25,800 crore in Brazil offshore field

BPCL's global exploration arm will invest ₹25,800 crore to develop the SEAP I offshore oil and gas project in Brazil after operator Petrobras approved the development plan. BPCL holds a 40 per cent stake in the project. The project will use a floating production vessel with a capacity of 1.2 lakh barrels a day, helping BPCL build an overseas pipeline.

Japan's JFE picks 25 per cent in Antony Waste's Andhra projects

Antony Waste has partnered Japan's JFE Engineering Corporation for its waste-to-energy business, with JFE acquiring a 25 per cent stake in two Andhra Pradesh project entities for ₹44 crore. The plants will each process 1,000 tonnes of municipal waste a day and generate 15 MW of power. The projects carry estimated revenue of ₹3,200 crore over 20 years and are set to be commissioned by Q1 FY29.



Airtel's Nxtra to raise \$1 billion capital for data centre expansion

Bharti Airtel's data centre arm, Nxtra Data, is raising \$1 billion (around ₹9,200 crore) from global private equity investors in a deal that values the business at about \$3.1 billion. Alpha Wave Global, Carlyle and Anchorage Capital will invest \$710 million, with Airtel contributing the balance to retain control. The fresh capital will fund new AI-ready facilities as Nxtra looks to expand capacity sharply amid rising demand for cloud and data services.

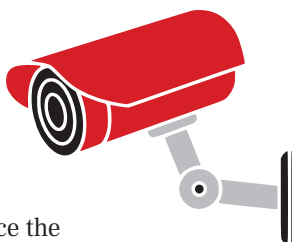
Ceigall India wins solar contracts worth ₹1,369 crore in Maharashtra

Ceigall India has secured contracts worth ₹1,369 crore to build 337 MW of solar power capacity in Maharashtra for state utility MSEDCL. This includes a 190 MW project worth ₹772 crore and a 147 MW project worth ₹597 crore, to be executed through its renewable energy subsidiaries. The orders mark a notable step in Ceigall's expansion beyond its core roads and highways business into solar development.



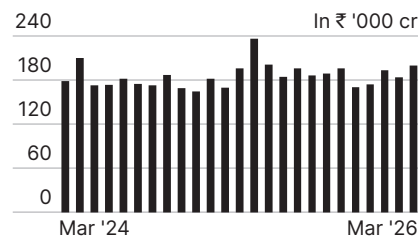
India blocks sale of Chinese internet-connected CCTV cameras

India has effectively barred Chinese surveillance camera makers, including Hikvision and Dahua, from selling internet-connected CCTV cameras from April 1, 2026. The move comes through a security certification regime that requires connected cameras to clear government testing before sale. Since the government is refusing certification to devices built on Chinese processors, Indian players such as CP Plus, Qubo and Matrix stand to gain.

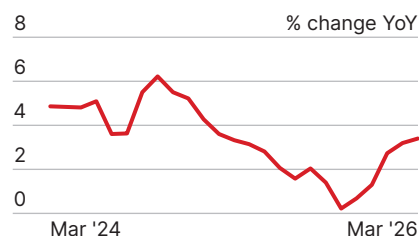


ECONOMIC METRICS

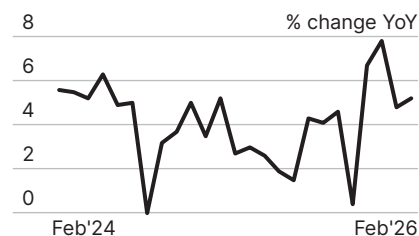
GST collection



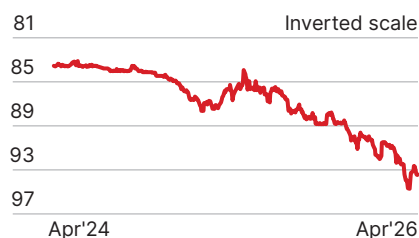
Inflation: Consumer Price



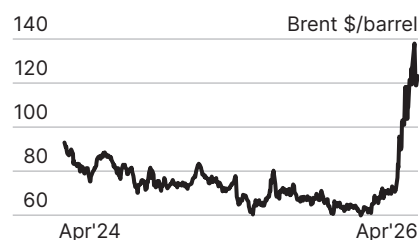
Index of Industrial Production



₹ vs \$



Crude oil



Indian pharma, decoded

Know what a pharma company actually does before investing in it

Pharma is one of those sectors that rewards investors who take the time to understand it. The companies are everywhere, in every portfolio, every index, but the businesses behind them are genuinely varied and, more often than not, misunderstood.

This three-part series is an attempt to change that. Here, we will cover the nature of the industry, the vocabulary you need, the supply chain, the business models and the commercial forces that determine whether a pharma company compounds wealth or treads water. It is not a short read, but it is a useful one for anyone who owns or is considering owning Indian pharma stocks.

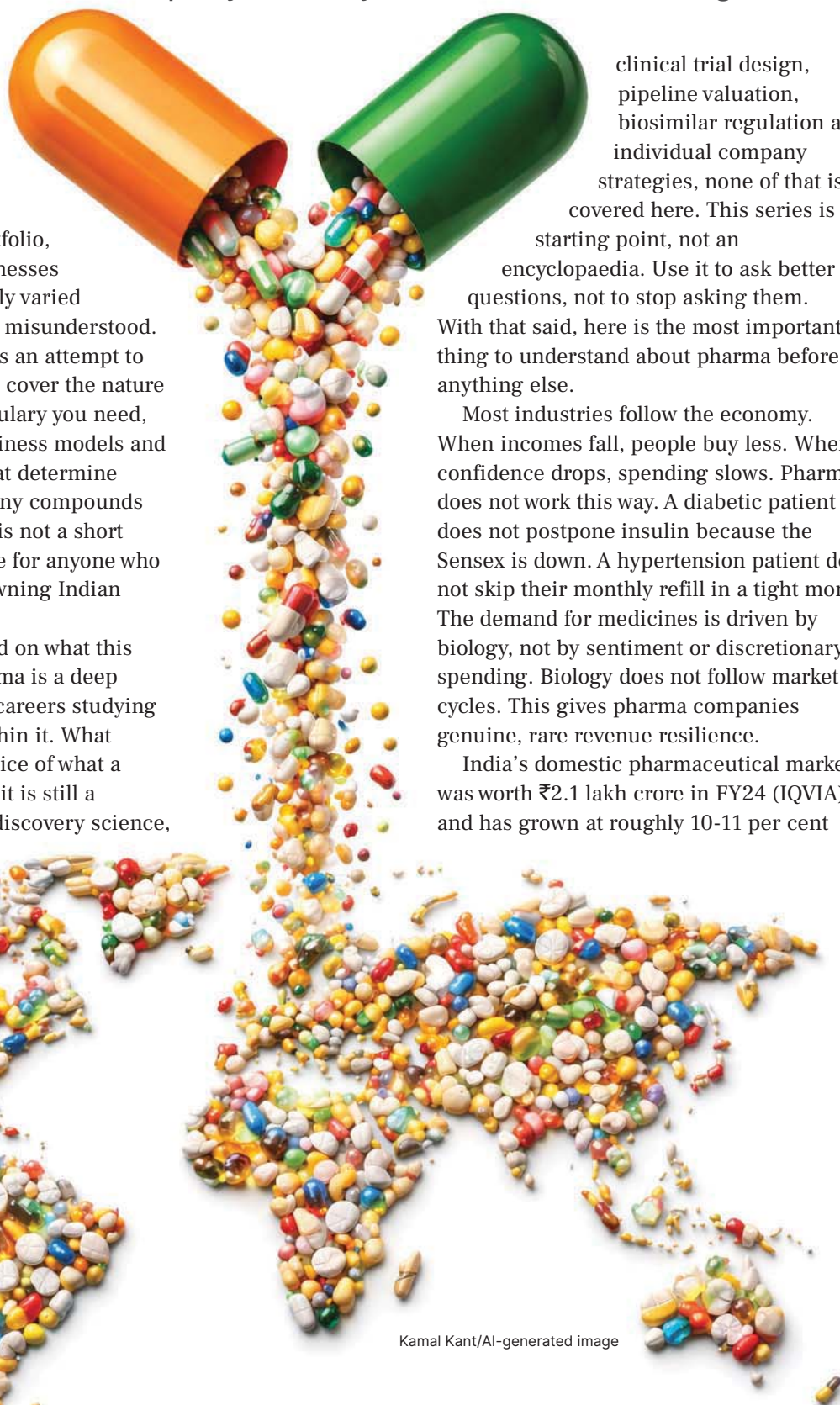
Before we begin, a word on what this series is not: Indian pharma is a deep industry. Analysts spend careers studying individual companies within it. What follows is a meaningful slice of what a retail investor needs, but it is still a surface-level view. Drug discovery science,

clinical trial design, pipeline valuation, biosimilar regulation and individual company strategies, none of that is covered here. This series is a starting point, not an encyclopaedia. Use it to ask better questions, not to stop asking them.

With that said, here is the most important thing to understand about pharma before anything else.

Most industries follow the economy. When incomes fall, people buy less. When confidence drops, spending slows. Pharma does not work this way. A diabetic patient does not postpone insulin because the Sensex is down. A hypertension patient does not skip their monthly refill in a tight month. The demand for medicines is driven by biology, not by sentiment or discretionary spending. Biology does not follow market cycles. This gives pharma companies genuine, rare revenue resilience.

India's domestic pharmaceutical market was worth ₹2.1 lakh crore in FY24 (IQVIA) and has grown at roughly 10-11 per cent



Kamal Kant/AI-generated image

annually over the past decade. It has never posted a negative growth year; not in 2008, not in 2020, not in any downturn.

Why India is important to pharma

These are not the numbers of a peripheral player. India is genuinely indispensable to global healthcare supply today.

This did not happen by accident. In 1970, India made a deliberate policy decision not to recognise foreign pharmaceutical patents. The intent was simple: India was a poor country, medicines needed to be affordable and allowing foreign companies to charge monopoly prices was not acceptable.

Over the next three decades, Indian chemists learned to reverse-engineer branded drugs, build world-class manufacturing infrastructure and develop deep process chemistry expertise. By 2005, when India restored patent protection in line with its WTO obligations, that capability was already in place. Those three decades of enforced self-reliance are the foundation of India's global position today.

The structural tailwind

The domestic market is not just large, it is structurally growing in ways that will not reverse. India has over 10 crore diabetic patients, the highest absolute count in the world (International Diabetes Federation, 2023), and an estimated 22 crore hypertensives (Indian Heart Association).

Every newly diagnosed chronic patient becomes a daily medicine consumer, often for life. Urbanisation, sedentary lifestyles and changing diets are expanding this pool relentlessly.

India's ageing population adds a further layer. Older people consume significantly more medicines. The babies who will be 65 in 2040 were born in 1975. This shift is locked in.

The vocabulary of Indian pharma

These are the terms that will appear throughout this three-part series. Each one describes a distinct type of business; understanding them now will make concepts in Parts 2 and 3 easier to follow.

43%
of all generic
prescriptions in the
United States are
supplied by India
(IQVIA)

>60%
of the antiretroviral
drugs used globally
to treat HIV come
from India

1. Generics and branded generics

When a pharmaceutical company discovers a new drug, it receives a patent giving it the exclusive right to sell that drug for roughly 20 years. During this period, no one else can make it. The company charges what the market will bear and earns back its research investment. When the patent expires, other companies can legally manufacture the same molecule. These copies are called generics. In most developed markets, a generic is sold under the molecule's chemical name at a fraction of the original price, such as atorvastatin rather than the branded original.

India's domestic market works differently.

Here, companies make the same generic copy but sell it under a proprietary brand name.

Dr Reddy's sells atorvastatin under the brand name 'Atorva'. Sun Pharma sells it under 'Atorlip'. Cipla sells it under the name 'Atocor'. Chemically identical molecules, different brand names, different prices, promoted by different sales teams to different doctors. These are branded generics, and they constitute the dominant commercial model in the Indian domestic market.

The brand premium is real. A branded generic can cost three to five times as much as the unbranded version available at a government Jan Aushadhi store. That premium exists because, in India, doctors write the brand name on the prescription, and patients fill it without question. Build enough trust with enough doctors over enough years, and that premium is remarkably durable.

Within generics, there is an important distinction between simple and complex generics. A simple generic is a standard tablet or capsule with well-understood manufacturing, many competitors and thin margins. A complex generic requires significantly more expertise: an inhaler must deliver a precise dose deep into the lungs, an injectable must be perfectly sterile, a topical gel must carry the drug through the

skin in a specific way. Complex generics have fewer competitors, take longer to develop, and earn better margins. Cipla's respiratory inhalers and Gland

55 cr
Indians are now covered
under Ayushman Bharat.

By 2050, nearly 1 in 5
Indians will be over

60

SECTOR PLAYBOOK

Pharma's injectables are examples of Indian companies that have built businesses on this complexity ladder.

2. API (Active Pharmaceutical Ingredient)

API is the molecule in your medicine that does the medical work. If you swallow a paracetamol tablet, the API is paracetamol. The rest of the tablet – binding agents, fillers, coating – is inert material that holds it together and controls its dissolution.

API manufacturing is a distinct business from the manufacture of finished medicines. API companies produce the active ingredient in bulk and sell it to formulation companies, which turn it into final tablets, capsules or injections.

3. CDMO (Contract Development and Manufacturing Organisation)

CDMO stands for Contract Development and Manufacturing Organisation. A CDMO manufactures medicines on behalf of other companies, under contract. It does not sell products under its own name.

A global pharma company might discover a promising molecule but prefer not to build its own factory. It hires a CDMO to develop the manufacturing process and produce commercial quantities. The CDMO earns a fee. It never owns the molecule or the intellectual property. Revenue is contractual, agreed in advance and not subject to market pricing. This makes CDMO revenue more predictable than generic revenue, where a new competitor can drive prices down sharply overnight. Syngene International and Piramal Pharma Solutions are key Indian examples.

4. NCE (New Chemical Entity)

NCE stands for New Chemical Entity, a molecule that has never previously been approved as a medicine anywhere in the world. Developing an NCE is what global innovator companies like Pfizer, Novartis and AstraZeneca spend the majority of their research

Divi's Lab

Among the largest API manufacturers globally by volume

90%

Failure rate among molecules that enter human trials

budgets on. It takes 10-15 years and costs thousands of crores per successful drug.

Very few Indian companies have invested seriously in NCE development. Dr Reddy's, Zydus Lifesciences, and Glenmark have programmes underway, but no Indian company has yet produced a globally significant NCE. For most Indian pharma companies, NCE is not relevant to how they make money today,

but it matters for identifying which companies are trying to move up the value chain.

5. Biologics and biosimilars

Most medicines are small molecules, chemicals synthesised through precise sequences of reactions. Biologics are different. They are large, complex proteins grown inside living cells, bacteria, yeast, or mammalian cells, in a process closer to brewing than chemistry. Insulin, the cancer drug Herceptin, and the arthritis drug Humira are all biologics.

Biologics cannot be copied the way a small-molecule generic can. The manufacturing process is extraordinarily complex. Even the same company, using the same equipment, produces molecules that differ slightly from batch to batch. A copy of a biologic is called a biosimilar, not a generic, because it cannot be perfectly identical, but close enough in structure and clinical behaviour to be therapeutically equivalent.

Biosimilars matter to investors because several of the world's best-selling biologics have recently lost or are losing patent protection, opening a significant global opportunity. Making them requires specialised manufacturing infrastructure, fermentation tanks, purification systems and sterile fill-finish facilities, which most Indian companies do not have. Biocon is the Indian company most advanced in this space, with approved biosimilars in the US and Europe. ☒

What's next?

In Part 2, we will follow the supply chain from start to finish, from the raw chemical that begins the process to the tablet a patient swallows. Every step is a business. Every arrow between steps is a commercial transaction.

Understanding who does what, and what each player earns, is the foundation for understanding any pharma company's position in the industry.

Staying steady through market swings

Market movements are rarely smooth. Periods of sharp ups and downs are a natural part of investing, even if they feel uncomfortable in the moment. For many investors, the real challenge is not volatility itself, but how they respond to it. Staying **disciplined** often becomes harder when markets fluctuate.



In such phases, investment decisions can become reactive. Investors may feel tempted to adjust portfolios frequently or move in and out of markets. This is where having a structured approach may help bring **clarity** to the process.



Passive funds follow a defined index and do not rely on frequent portfolio changes. By design, they continue to track the underlying market, allowing investors to remain aligned with broader **market exposure** without constant decision-making.

This does not remove volatility, but it may change how investors **engage** with it. Instead of reacting to short-term movements, the focus may shift towards staying invested and maintaining a **consistent** approach.



Another consideration is **cost**. Passive funds typically have lower expense ratios than actively managed funds. Over time, keeping costs in check may support the overall investment process, especially when markets are uncertain.



Market swings are a part of the journey. For some investors, a **rules-based approach** may make it easier to stay invested through different phases without frequent intervention.

Staying invested through market movements is as easy as...

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Large caps

Industry	Stock Rating	3M returns (%)	P/E	TTM rev. growth (% YoY)	TTM PAT growth (% YoY)	3Y EPS growth (% pa)	3Y avg ROE (%)
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Top 10 by returns ▲

Hitachi Energy	Electric Equipment	★★★	67.7	150.6	17.4	180.2	103.6	11.5
GE Vernova	Electric Equipment	★★★★	47.7	99.1	41.2	128.7	400.2	18.6
ABB India	Electric Equipment	★★★★	39.2	87.2	8.3	-11.0	17.6	24.7
Waaree Energies	Electric Equipment	★★★★★	33.8	30.1	64.9	132.4	156.8	34.8
CG Power	Electric Equipment	★★★	29.5	105.8	25.5	21.1	18.7	33.2
Adani Power	Power Generation	★★★★	28.5	30.9	-1.9	-12.3	4.2	42.6
Groww	Fintech	★★★★★	26.9	71.7	-	-	-	-
Adani Energy	Power Generation	★★★	26.9	62.6	20.0	43.3	23.8	4.2
Bharat Forge	Forgings	★★★	26.5	77.5	4.5	22.6	20.5	15.1
Cummins India	Diesel Engines	★★★★★	24.2	61.9	13.3	17.4	27.0	26.6

Bottom 10 by returns ▼

IDBI Bank	Bank - Private	★★★★★	-29.0	1.3*	-2.5	29.6	42.3	13.7
LTM	IT	★★★★	-23.1	28.9	9.9	12.3	-11.1	25.7
Hyundai Motor	Automobiles	★★★	-23.1	25.0	1.3	1.5	24.8	35.8
Swiggy	E-Commerce	★	-21.5	-	52.1	72.8	25.9	-85.1
TCS	IT	★★★★	-20.0	18.8	4.6	7.8	5.7	51.0
Wipro	IT	★★★	-19.4	16.6	2.4	6.1	6.9	16.4
Lodha Developers	Construction	★★★	-18.7	25.7	19.3	32.9	126.4	8.2
Infosys	IT	★★★★	-18.4	18.9	8.2	4.4	6.3	34.0
Maruti Suzuki	Automobiles	★★★★	-17.7	28.0	14.2	2.7	25.0	16.0
Eternal	E-Commerce	★	-17.6	1,029.8	138.7	-65.2	29.6	4.8

*Price-to-book ratio. Our large-cap universe has 152 large companies, making the top 70 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Profit after tax (PAT) adjusted for exceptional items and discontinued operations. Data as of April 15, 2026.



Mid caps

	Industry	Stock Rating	3M returns (%)	P/E	TTM rev. growth (% YoY)	TTM PAT growth (% YoY)	3Y EPS growth (% pa)	3Y avg ROE (%)
Top 10 by returns ▲								
Sterlite Technologies	Cable	★★	170.6	-	15.2	-132.3	-188.3	-0.1
MTAR Technologies	Engineering	★★	87.6	239.7	18.5	50.1	-11.7	11.5
Avanti Feeds	Animal Feed	★★★★★	71.1	30.6	8.7	31.8	32.9	17.6
Schneider Electric	Electric Equipment	★★★★★	61.0	97.7	14.5	28.2	46.0	100.1
Apar Industries	Electric Equipment	★★★★★	50.1	46.3	20.7	22.7	24.8	27.2
Aditya Infotech	Trading	★★★★★	47.4	69.3	178.0	190.9	60.4	32.8
Welspun Corp	Steel Products	★★★★★	42.6	14.3	12.9	57.2	110.3	14.9
Gallantt Ispat	Steel Products	★★★★	42.5	39.7	-2.5	25.8	-	10.5
Prime Focus	Business Support	★★	41.3	-	22.3	-173.6	-12.4	3.4
Supreme Petrochem	Petrochemicals	★★★★★	40.9	54.2	-11.7	-34.2	-33.4	22.0

Bottom 10 by returns ▼								
KPIT Technologies	IT	★★★★★	-38.2	27.8	11.4	0.8	27.0	30.9
eClerx Services	BPO	★★★★★	-35.1	21.0	20.8	29.1	14.2	28.6
Syngene International	Business Support	★★★★	-34.4	47.3	5.1	-16.2	-6.8	12.2
Authum Investment	Finance	★★★★★	-33.3	2.3*	-16.0	-9.5	96.7	-
Hexaware Technologies	IT	Unrated	-31.9	21.7	14.0	23.2	15.4	26.1
Firstsource Solutions	BPO	★★★★	-31.1	24.8	22.0	24.5	7.7	14.2
JSW Holdings	Finance	★	-28.6	0.4*	-28.4	-31.5	-22.4	0.9
IIFL Finance	Finance	★★★★★	-26.0	1.5*	17.2	23.7	-5.8	15.4
Jyoti CNC	Industrial Equipments	★	-24.9	44.9	22.3	13.2	84.1	12.5
Coforge	IT	★★★★★	-23.8	35.8	39.4	49.8	11.7	23.9

*Price-to-book ratio. Our mid-cap universe has 329 mid-sized companies, making the next 20 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Profit after tax (PAT) adjusted for exceptional items and discontinued operations. Data as of April 15, 2026.



Small caps

	Industry	Stock Rating	3M returns (%)	P/E	TTM rev. growth (% YoY)	TTM PAT growth (% YoY)	3Y EPS growth (% pa)	3Y avg ROE (%)
Top 10 by returns ▲								
Mrugesh Trading	Finance	Unrated	201.3	10.8*	1.1	-119.7	-290.2	21.3
Titan Bio-Tech	Chemicals	★★★	103.5	65.4	19.4	27.5	3.0	18.5
Dee Development	Industrial Equipments	★★	83.7	32.8	36.0	249.9	59.9	3.9
Jindal Poly Films	Textile	★★	75.5	-	-29.0	-224.4	-159.5	16.5
SMT Engineering	Trading	Unrated	69.9	53.7	3,001.1	-442.2	228.0	-10.4
Quality Power	Electric Equipment	★★★★	68.6	80.2	189.6	100.4	30.2	38.5
Aeroflex Industries	Steel Products	★★★★★	68.0	79.3	12.6	-4.3	19.1	22.3
Sportking India	Textile	★★★★★	67.4	14.6	-0.7	20.4	-14.2	11.7
Atlanta Electricals	Electric Equipment	★★★★★	64.2	86.0	139.7	137.1	119.8	38.0
GE Power India	Engineering	★★	63.7	11.0	18.7	100.8	37.9	-67.2

Bottom 10 by returns ▼

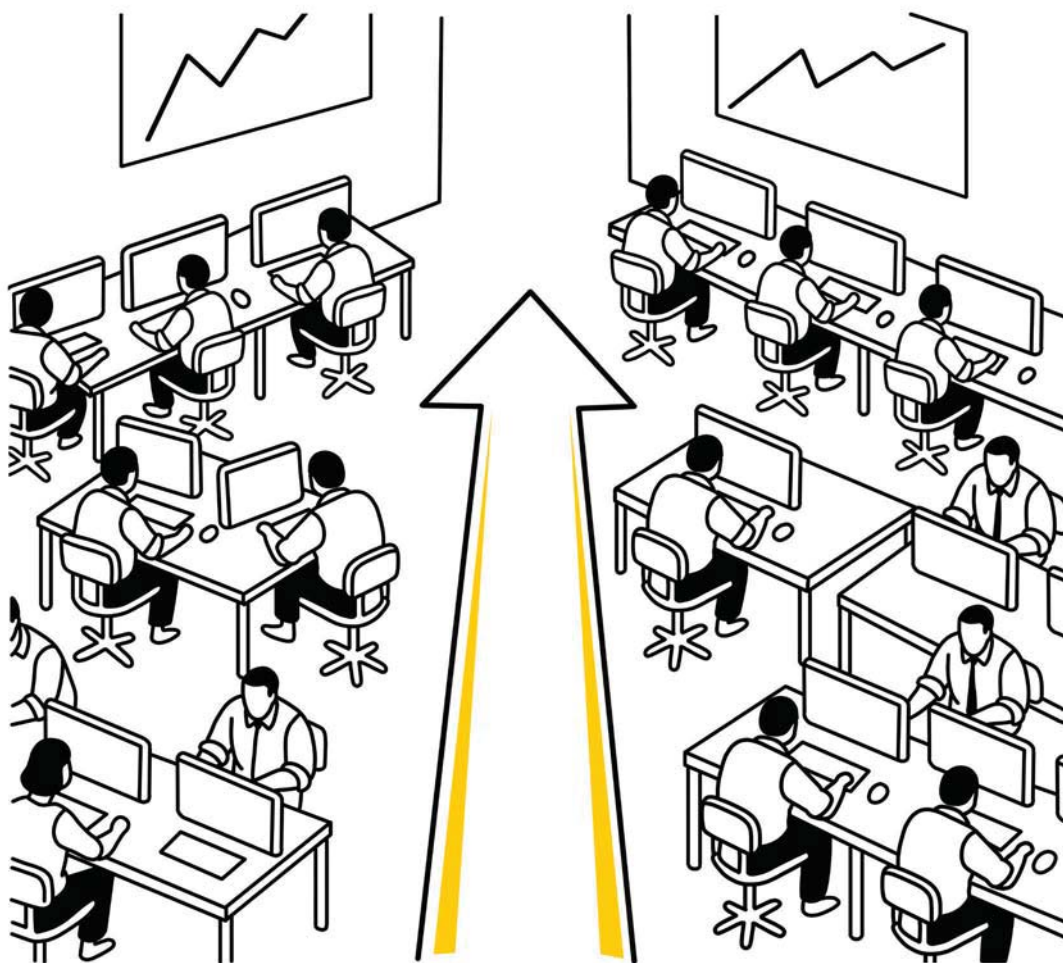
Aqylon Nexus	Film Production	Unrated	-75.9	208.7	116.2	-84.6	35.7	-
Blue Pearl	Trading	Unrated	-60.2	3,299.1	106.3	-47.8	26.8	0.7
RDB Infrastructure	Construction	★	-54.5	88.6	-14.9	-43.1	40.1	7.2
A-1	Trading	★★	-53.9	288.1	8.3	-32.9	-32.7	5.8
RM Drip	Industrial Equipments	Unrated	-53.7	45.0	436.9	904.5	106.4	21.4
Elitecon International	Trading	Unrated	-51.3	20.4	1,686.2	917.0	26.5	-
SpiceJet	Airlines	Unrated	-48.4	-	-14.5	398.0	22.5	-
Fino Payments	Bank - Private	★★★★★	-44.2	1.5*	28.8	-23.7	4.6	13.8
IFB Agro Industries	Distilleries	★★★★★	-38.9	17.1	17.1	153.2	-2.5	4.0
CE Info Systems	IT - Software	★★★	-38.7	38.8	10.8	1.9	8.4	22.1

*Price-to-book ratio. Our small-cap universe (minimum market capitalisation of ₹686 crore) has 1,220 small-cap companies, making the bottom 10 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Profit after tax (PAT) adjusted for exceptional items and discontinued operations. Data as of April 15, 2026.



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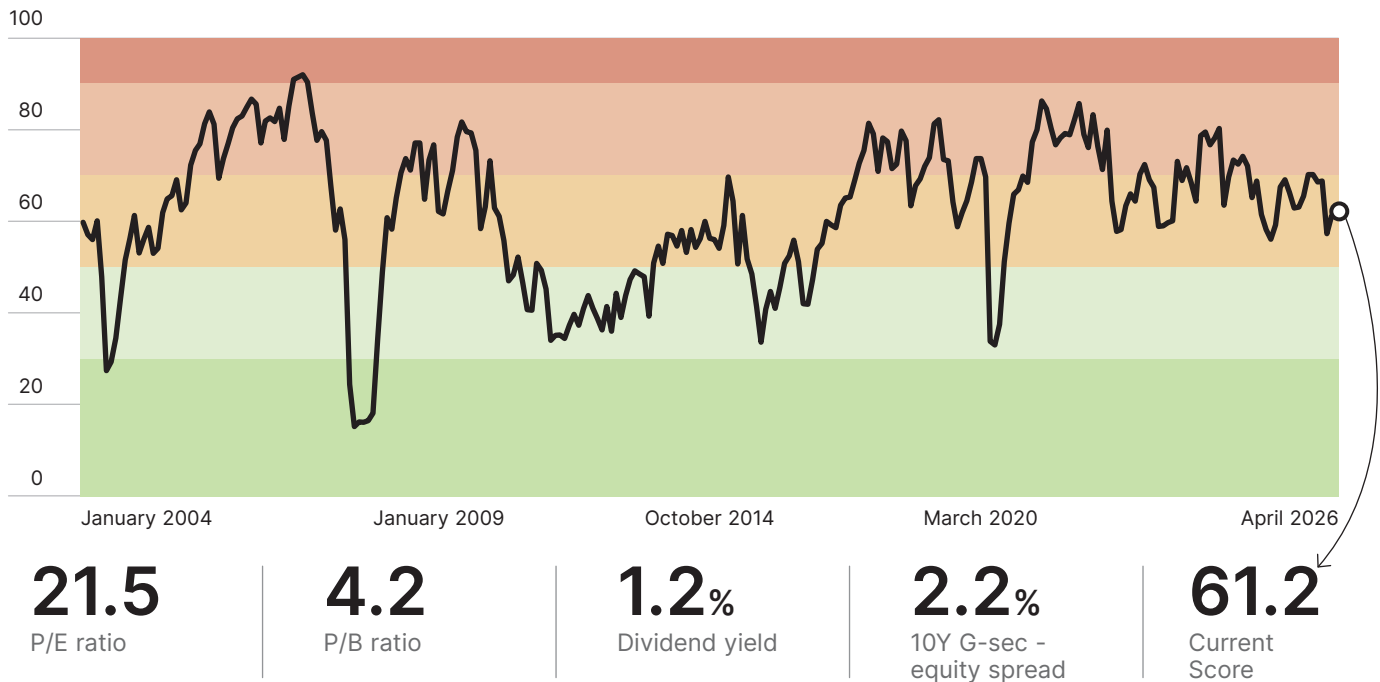
Temperature check

A clear-eyed look at where the Indian equity market stands today

How market valuations have moved over the years

Tracking how expensive or cheap the market has been over time

● Extremely undervalued (0 to 30) ● Undervalued (30 to 50) ● Fairly valued (50 to 70) ● Overvalued (70 to 90) ● Extremely overvalued (90 to 100)



Valuation across key market phases

Date	Sensex	Score	Zone
Jun '04	4,795	27.4	●
Apr '06	12,043	83.9	●
Dec '07	20,287	92.0	●
Nov '08	9,093	15.2	●
Feb '12	17,753	50.8	●
Feb '14	21,120	39.3	●
Jul '15	28,115	69.7	●
Jan '18	35,965	81.4	●
Apr '20	33,718	33.0	●
Mar '21	49,509	84.6	●
Jul '23	64,719	60.1	●
Sep '24	84,300	74.2	●

All data as of April 15, 2026

Our framework

To assess whether the market is currently cheap, fairly valued or expensive, we draw on four valuation metrics tracked monthly: the Sensex P/E ratio, P/B ratio, dividend yield and the bond-equity spread. The spread is the difference between the 10-year government bond yield and the Sensex earnings yield (inverse of P/E).

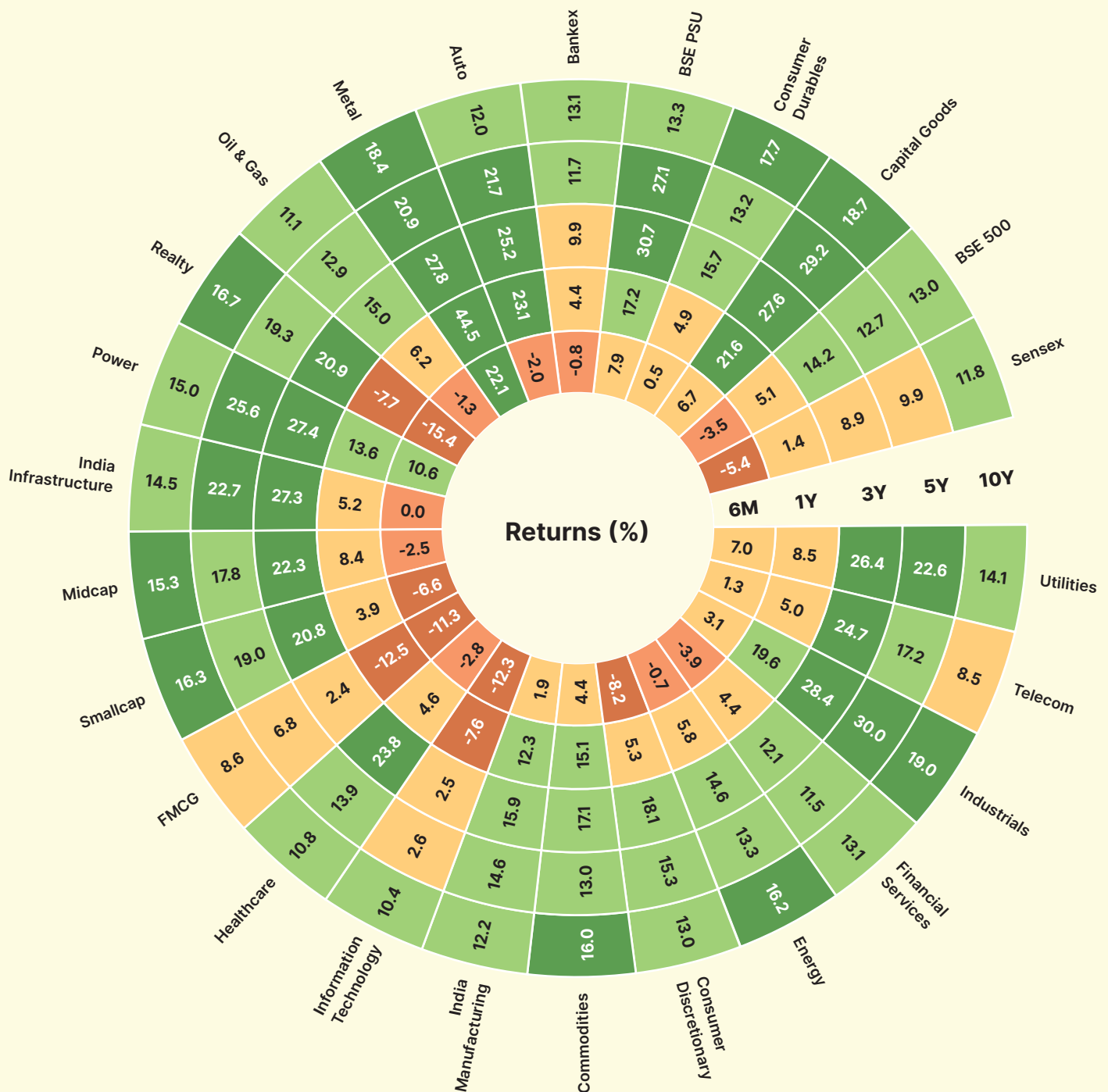
We have maintained a historical record of all four metrics since April 1998. Each month, we take the current reading of each metric and count how many past monthly readings were lower than it.

Dividing that count by the total number of past months gives a percentile rank between 0 and 100. A rank of 70 means today's reading is higher than 70 per cent of all past readings, indicating the metric is relatively expensive. A rank of 30 means it is cheaper than most of history.

Since a higher dividend yield signals cheaper valuations rather than costlier ones, its percentile rank is subtracted from 100 to align it with the other three metrics. The four percentile ranks are then averaged equally to produce the final score. [🔗](#)

Sector snapshot

Despite underperforming in the last six months and one year, the long-term returns of most indices remain healthy, thanks to a strong bull run



Data as of April 15, 2026 for major BSE indices. Returns for over a year have been annualised.

STOCK STORY

Striking gold

How Titan built a jewellery empire while trying to solve a balance sheet problem

Images: Adobe Stock & ChatGPT

The Indian watch market of the early 1980s was a murky place. The lower end was flooded with smuggled and counterfeit timepieces, while the upper end was dominated by expensive imports accessible to a privileged few.

When the Tata Group and Tamil Nadu Industrial Development Corp set up Titan in 1984, the aim was not to compete on price but to make authenticity matter. By the early 1990s, Titan had captured nearly two-thirds of India's quartz analogue market. Watches built the brand. What followed built the business.

An accidental empire

Titan's move into jewellery began as a balance sheet fix. Watchmaking required imported components, which needed foreign currency. The solution was to manufacture jewellery, export it and earn dollars.

But the domestic opportunity quickly became too large to ignore. India had long been a major gold consumer. The gold jewellery market, estimated at ₹40,000 crore, at the time was fragmented across over 2.5 lakh family jewellers, with

no player commanding even 1 per cent share. It was vast, unorganised and largely unbranded until 1995, when Tanishq entered.

Building trust in an opaque market

Tanishq stepped into a market shaped by habit and opacity. Its early move, the 'Karatmeter', allowed customers to test the purity of their existing gold. More often than not, it exposed under-karatage.

Yet, trust alone wasn't enough. Early missteps hurt. Western designs didn't appeal to Indian buyers, and the business struggled for years. Profitability came only in 2001 after a shift to traditional 22-karat jewellery that aligned with local preferences.

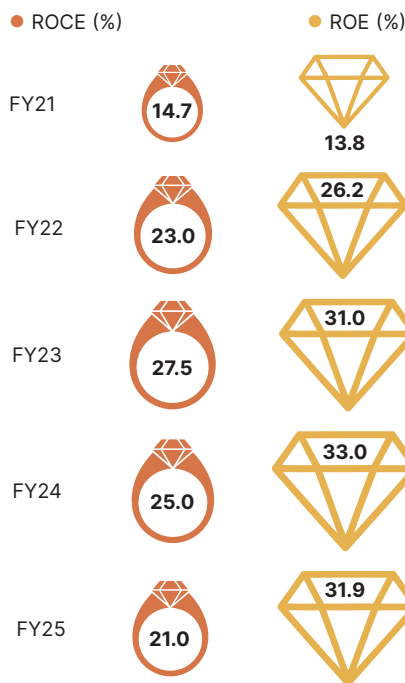
From watches to jewellery

Revenue mix (₹ crore)



Others include fragrances, accessories and traditional Indian wear (Taneira)

Sparkling return metrics



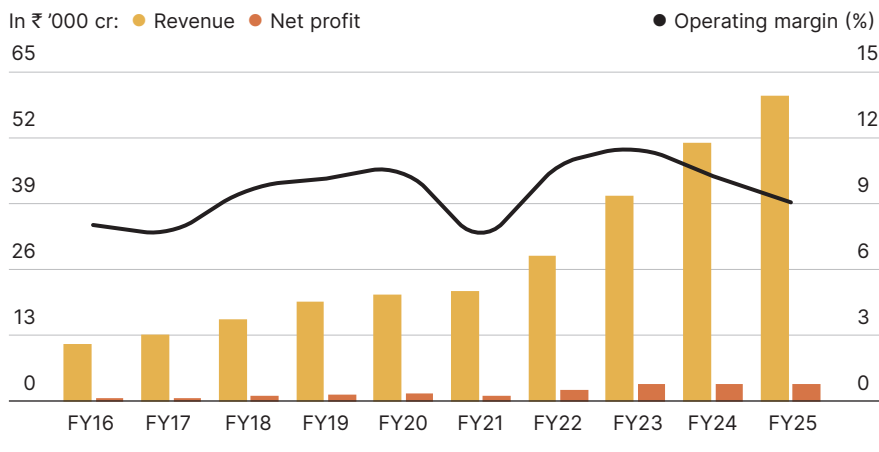
Fixing the working capital puzzle

Jewellery is typically a capital-intensive business. Titan found ways around it. Backed by the Tata name, it sourced gold from banks at about 3 per cent interest, reducing the need to own inventory outright.

It also turned customers into a source of funding. Its instalment schemes encouraged households to regularly save for jewellery purchases, creating a steady, low-cost capital pool. The gold exchange programme further strengthened this model, eventually meeting nearly 45 per cent of Titan's gold requirements.

The bigger shift came from

Sales soar, margins hold



product mix. Plain gold offers limited margins. Studded jewellery, particularly diamonds, commands a premium. As studded jewellery rose to nearly 30 per cent of revenues, margins improved meaningfully. Titan's EBIT margins were north of 9 per cent, well ahead of peers such as Malabar Gold and Kalyan Jewellers in FY25.

Nearly 80 per cent of stores now operate on a franchise model, where partners fund expansion while Titan retains control over inventory, pricing and design. It is scale without stretching the balance sheet.

The road ahead

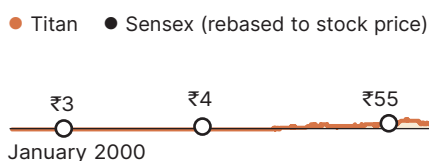
Since FY02, Titan's watch business has grown about 10 times. Jewellery has grown 183 times. Much of this, however, has been driven by value migration: unorganised gold flowing toward a credible, branded alternative. Titan didn't grow a market so much as it claimed one

but the easiest kilometres are likely behind it.

It aims to raise its jewellery market share to 10-11 per cent by FY27, from 8.5 per cent in FY24. But competition is intensifying, with rivals adopting the same transparency-led approach that Titan pioneered.

As organised retail gains share, the easy gains from formalisation diminish. Growth from here will come harder, with every incremental share point contested. How Titan navigates this shift will shape its next phase. ☒

By Lekisha Katyal



The real-asset revival

A case for tangible assets in an uncertain world

For investors, the biggest story today may not be day-to-day volatility but the deeper shift in trust in old-standing financial assets in an increasingly unstable world. That was the stark argument that Ritesh Jain, founder of Pinetree Macro and former CIO at Tata Mutual Fund, made in a recent CFA Society webinar. The industry maven urged investors to step back from the daily market noise and consider a larger question: Are we witnessing a structural change in the global financial order? The full discussion can be accessed via the QR code on the second page.

His central argument was simple, though unsettling. For decades, the world operated under a clear anchor: the United States. It provided military security, ensured trade stability and in return, enjoyed the privilege of issuing the world's reserve currency. In that system, financial assets thrived. Bonds felt safe, the dollar dominated and gold slowly faded into the background.

But what if that system is now evolving?

When the anchor weakens

Jain was careful not to suggest that the US is in decline. "Never bet against Americans," he said. His point was more nuanced: the US may no longer be willing to shoulder global responsibilities as before. And when the dominant power begins to step back, the entire system, what assets feel safe, which currencies carry trust, what a bond is worth, starts to shift.

He illustrated this with a simple analogy. The world once had a class monitor maintaining order. That monitor is now stepping back and each participant must look after themselves. So defence spending rises, trust among countries weakens and uncertainty becomes more widespread. In such an environment, the question naturally follows: if global security becomes less certain, should the dollar continue to command the same unquestioned trust as before?

Gold's time to shine?

Jain's conclusion from all this is direct: when faith in the old order weakens, capital starts shifting from



paper promises to hard assets.

That explains why he does not see gold merely as a shiny commodity. In his telling, gold is not going up because investors have suddenly become emotional or fearful. Gold is rising because it is regaining monetary relevance in a fractured world. As he put it, “You require gold only when there is a transition happening”.



Simply put, in a stable world, investors are comfortable holding financial assets such as bonds or currencies, which rely on institutions and governments to maintain their value. But when uncertainty rises, the appeal of assets that don't depend on promises begins to increase.

Why safe money may not stay safe

This becomes especially relevant in a world where government debt is high, Jain argued. Countries do not always default in a dramatic way. Instead, they sometimes take a subtler route.

By keeping interest rates low while allowing inflation to rise, governments effectively reduce the real burden of their debt. So if a government owed ₹100 today, they'd repay the same in future but that number would buy less than it used to. Savers and bondholders effectively absorb the loss. This is why Jain calls bonds in such an environment a ‘certificate of confiscation’. The face value is returned but the purchasing power is not.



For investors holding assets like bonds, fixed deposits or cash, this is the hidden risk. Savings held in these forms may appear stable, but in reality, they are gradually losing value. Seen this way, gold is not just rising in price. It is reflecting a loss of confidence in paper assets.

A likely flight from financial to real assets

If money begins to move away from financial assets, the

natural question is where it would go. Jain's answer is towards real assets. These are tangible, scarce and essential assets, such as commodities, industrial materials, energy systems and infrastructure. “Market is already saying real assets over financial assets,” he noted.



This is a broader shift than just gold outperforming equities. It suggests that the next phase of investing may favour sectors linked to physical production and strategic needs rather than purely financial growth.

If countries are forced to secure supply chains, invest in defence, build energy capacity and reduce dependence on global systems, then capital may increasingly flow towards metals, power, logistics and engineering.

What this means for investors

For Indian investors, this shift has two implications.

First, it reframes gold. In India, gold has traditionally been held for cultural reasons. Jain's argument places it in a macroeconomic context. In a world of currency uncertainty and geopolitical friction, gold looks less old-fashioned and more prudent.

Second, it changes how we view equity valuations. Jain pointed out that corporate profitability is closely linked to nominal GDP growth. If nominal growth moderates from the high levels seen in recent years, it becomes harder for companies to sustain the same pace of profit expansion. As a result, the market may no longer justify the elevated valuations investors have grown accustomed to.



This does not mean India's growth story is broken. It means returns may become more selective. Investors may need to be more disciplined about valuations and less willing to chase every growth narrative. ☒



Scan the QR to watch the full interview

Shift in short-term investing patterns

Investors should move beyond daily market noise and ask deeper questions about where global power is heading and what assets will hold trust in uncertain times.

A new era may be unfolding

The next few years could look starkly different from the past two decades, with easy valuation-driven gains and cheap liquidity becoming a thing of the past.

Real assets are making a comeback

Gold and tangible assets may no longer be only held for cultural reasons. In an increasingly uncertain world, they stand to gain serious relevance over time.

Returns will require greater effort

Investors can no longer rely on passive tailwinds; the coming environment may demand harder work and smarter investing choices to generate meaningful returns.

A gem under pressure

IGI has enviable margins and business model, but a weakening market is looming over

International Gemological Institute (IGI) lost its lustre on Dalal Street since its debut over a year ago. The diamond certification company that once stood out for its fat operating margins of nearly 70 per cent has seen its earnings multiple cut in half to around 26 times today. We take a look at why such a profitable business has failed to make a mark with investors and whether it still has a chance at redemption.

An asset-light machine

A diamond sitting on a jeweller's counter derives much of its value from a certificate that verifies its quality. This certificate tells the buyer what the stone is, where it came from and how it scores on the 4Cs of diamond quality: cut, colour, clarity and carat weight. IGI issues these certificates for roughly 50 per cent of all diamonds certified in India, 33 per cent globally and nearly 65 per cent of all lab-grown diamonds certified worldwide. It charges a flat fee per certificate, needs almost no capital to run (which explains its swelling margins) and converts most of its earnings into cash. By most measures, this is an outstanding business. Market concern lies not in how it operates but whether its core offering can retain relevance.

The lab diamond problem

IGI's single biggest risk is not

★★	7/10	4/10	3/10	5/10
Stock Rating	Quality Score	Growth Score	Valuation Score	Momentum Score

Data as of April 3, 2026

competition but the economics of the industry it serves. Roughly 54 per cent of its revenue comes from lab-grown diamond certifications. Their oversupply over the last few years has severely crashed prices. The average price of a two-carat lab diamond has fallen 80 per cent since January 2020. A one-carat stone that once sold at ₹60,000 per carat now sells at ₹25,000-30,000. This made sellers demand that IGI also lower its certificate fees. The company did so in mid-2024.

And the supply glut is far from over. The oversupply is due to rapidly growing CVD (chemical vapour deposition) manufacturing reactors, which are cheap and scalable and produce lab diamonds.

Indian CVD reactor capacity has jumped from 6,000-6,500 reactors in 2022 to 10,000-11,000 by 2025, with manufacturers planning 13,000-14,000 reactors by 2026. With other efforts underway to develop cheaper indigenous machines, entry barriers could fall further. All this suggests that the supply wave is not cresting anytime soon. This could keep prices depressed and pressure IGI's certification fee revenue.

Cracks in the certification model

To add to the above, GIA, the authority that sets global standards for diamond quality, recently stopped grading lab diamonds on the 4C scale, classifying them simply as

In abundance



Source: IGI (India) investor presentation



Adobe Stock

‘Premium’ or ‘Standard’. Its former CEO, Susan Jacques, went further, saying lab stones have no intrinsic value and rarity and that at current prices, certification does not make sense any longer. She also warned of a potential consumer confidence shock when buyers realise these stones have little resale value.

There is also the risk that IGI gets cut out. The management confirmed that a large Indian jeweller has begun certifying its lab-grown diamonds in-house. If established retailers convince customers that their grading is enough, they bypass IGI entirely.

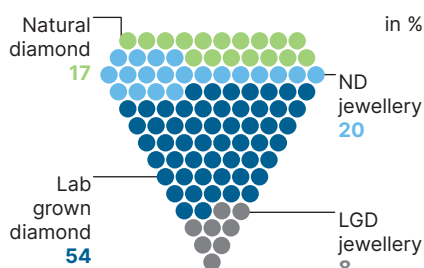
Capital allocation dilemma

There is another concern about the acquisition of IGI’s loss-making Belgium and Netherlands operations. Private equity giant Blackstone, the parent of both IGI and the acquired entities, funded the deal using the IPO’s fresh issue proceeds, while also selling part of its stake in the issue.

The acquired businesses operate in mature, higher-cost markets and have reduced IGI’s consolidated EBITDA margins from over 70 per cent to about 57 per cent. That is where the capital-allocation concern arises. A high-margin business used fresh capital to absorb

Lab diamond dependency

Over half the revenue rides on one segment



Sparkling financials

Strong margins and cash flows make business quality evident

	CY22	CY23	CY24	CY25
Revenue (₹ cr)	491	898	1,053	1,229
Operating profit (₹ cr)	324	455	559	694
Op. margin (%)	65.9	50.6	53.1	56.5
Profit after tax (₹ cr)	242	331	427	532
CFO (₹ cr)	194	303	393	502

ROCE is return on capital employed. CFO is cash flow from operations.

weaker, loss-making operations. The question for investors is whether this move will create enough long-term value to justify the immediate dilution in profitability for minority shareholders.

One silver lining

Amid these risks, there has been one positive development too. While lab diamonds were on the back foot, revenue from natural diamond certification grew 20 per cent in 2025. Paradoxically, the reason was the proliferation of lab diamonds, which made natural diamond buyers more anxious. A customer paying ₹1-2 lakh for a diamond wants assurance that it isn’t a cheaper lab-grown alternative, increasing certification demand. IGI certifies both and growth of one segment is actively driving demand in the other.

Some cushion for IGI in lab diamonds is also possible if the market continues to grow strongly. It is still nascent in India and is expected to grow at a healthy clip of 13 to 15 per cent annually in the

coming years. So, if prices decline further or remain depressed, higher volumes can still help IGI compensate for its lower fees. But that still depends on how fast the market expands.

Good business, shaky ground

Growth in natural diamond certification is encouraging, but it does not change the core concern. Lab diamonds still account for the bulk of IGI’s revenue, and that is exactly where uncertainty is rising. Prices are falling, supply continues to build and the relevance of certification is being questioned.

The stock’s de-rating reflects these risks. But even at the lower multiple, the valuation still looks demanding for a business facing such deep structural uncertainty in its largest segment. This is still a good business. The trouble is that its strongest engine now rests on an increasingly uncertain foundation. That is why, even if the quality is clear, the valuation comfort is not. ☒

By Abhinav Goel

Big payoff, long wait

NLC India will test your patience before rewarding it

India is building power infrastructure at a pace it has never attempted before. The National Electricity Plan puts the investment needed for power generation at ₹33.6 lakh crore between 2022 and 2032. Transmission adds another ₹9.15 lakh crore. In total, over ₹42 lakh crore of visible investment is in the works. In that context, NLC India, with its own mammoth capex, is starting to look very different from the sleepy state-run business it has been for years.

₹1 lakh crore capex engine

Most people know NLC as a power company. It is more than that. It is more than that. It is an integrated mining-and-power business operating lignite and coal mines, thermal power stations and a growing renewable arm. Today, it has 50.1 million tonnes of annual mining capacity, 5,960 megawatts of thermal capacity and 1,781 megawatts of renewable capacity. By 2030, the plan is to get to 104.35 million tonnes of mining capacity and over 10,000 megawatt each of thermal and renewables by spending a massive ₹1.16 lakh crore in next five years; a giant, ambitious leap.

Incoming debt load

The capex figure breaks down like this: ₹49,981 crore for thermal, ₹41,599 crore for renewables, ₹14,199 crore for mining and ₹11,101 crore for diversification, including coal gasification, EV charging stations and the like.



Sakshi/AI-generated image

★★★

Stock Rating

4/10

Quality Score

8/10

Growth Score

5/10

Valuation Score

7/10

Momentum Score

Data as of April 8, 2026

Management wants to fund the conventional projects at a 70:30 debt-to-equity split and the renewable ones at an 80:20 split. That implies roughly ₹85,976 crore of debt and ₹30,904 crore of equity. The standalone debt-to-equity ratio, which stood at 0.52 times in November 2025, could swell to 2.33 times. As for the equity side, NLC will list its subsidiary NLC India Renewables by diluting up to 25 per cent in one or more tranches.

Now there is nothing wrong or unusual about raising heavy debt by

power players like NLC. There is no insolvency risk either given the government backing. But there is the likely impact on profitability in the coming few years.

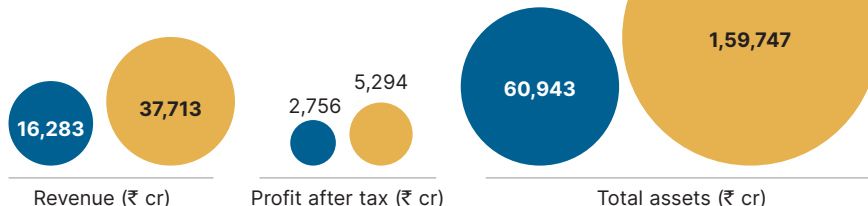
Risk of execution slip-ups

A large capex plan is one thing. Executing it on time is another. And delays leave real impact. Consider Ghatampur thermal power station. At the September 2023 AGM, management indicated that Unit-I would be commissioned that very financial year. What followed was a

A sleeping giant finally stirs

NLC's massive spending breaks away from its long record of minimal capex

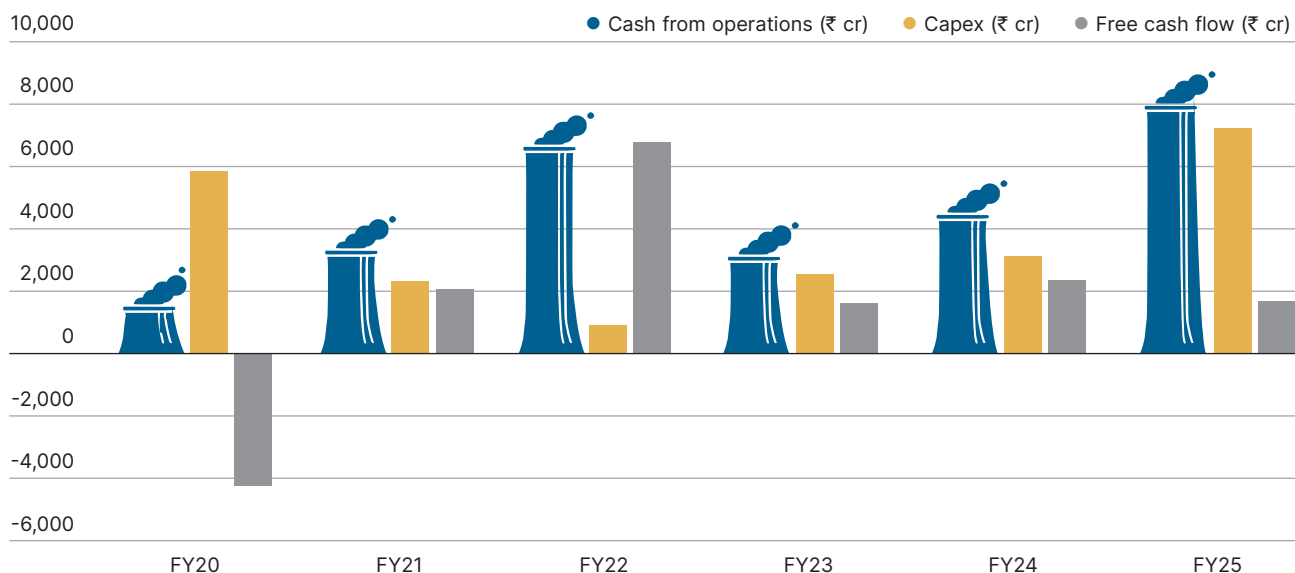
● TTM numbers ● FY30 target



TTM is trailing twelve months through December 2025

Cash flows are healthy for now

Free cash flows have held up recently. The big capex may change that.



TTM is trailing twelve months through December 2025

familiar infrastructure story: contractor financial stress, Covid-related labour disruption, supply-chain bottlenecks. Unit-I achieved commercial operation only in December 2024. Unit-II followed at the end of 2025. Unit-III is now expected in March 2026. That is a delay of well over a year.

Why does this matter? When debt is drawn but the asset is not yet earning, the company sits in the worst part of the infrastructure cycle: interest accumulates, depreciation runs, and cash flows are absent. Profits compress. Return on capital employed weakens. Shareholders pay for the wait.

How realistic is the revenue goal?

Management's FY30 ambitions are compelling on paper. Revenue is set to climb from ₹15,283 crore in FY25 to ₹37,713 crore, profit after tax from ₹2,714 crore to ₹5,294 crore. That works out to roughly

20 per cent annual revenue growth and 14 per cent annual profit after tax growth.

Our reading is more cautious. Over the next five years, earnings growth may be closer to 6-8 per cent per annum not because the business is broken but because it will be squeezed by the burden of becoming much larger.

FY26 makes the point plainly. Management had set targets of ₹24,430 crore in revenue and ₹3,482 crore in profit after tax for the full year. In the first nine months, the company generated ₹12,447 crore in revenue and ₹2,288 crore in profit after tax. To hit the annual target, Q4 would need to deliver ₹11,983 crore in revenue and ₹1,194 crore in profit after tax. For a utility still juggling project commissioning, that is a very demanding ask.

The case for patience

At 14 to 15 times trailing earnings and a dividend yield of roughly

1.3 per cent, NLC is not expensive. But our case of 6 to 8 per cent five-year earnings growth does not make it look fully discounted at this multiple either.

A 12 to 13 per cent earnings growth is achievable but only for investors willing to hold for at least 10 years, until around FY35, when the large assets would be operational and fresh capex would start to normalise. Expecting the capex booster to fire in the next few years is unrealistic. The current low multiple also reflects market scepticism about whether these projects will land on time. That scepticism is warranted given the untidy past record.

NLC India is a long capital-cycle story. The upside is genuine. The route is messy. Patient investors who can look past five years of funding noise and commissioning delays may find something worth holding. Others should wait for the execution record to improve. [🔗](#)

By Satyajit Sen

Efficient, cheap, overlooked

Mahanagar Gas has an efficiency record and a moat. What it doesn't have yet is the market's attention.

At a hefty 27 per cent discount to its five-year median price-to-earnings multiple, Mahanagar Gas or MGL, as it is known, is hard to overlook. When you add its annual revenue growth of 36 per cent in the last four years and a business efficiency record few can match, the question writes itself: whether a business this efficient, growing this fast, deserves a second look at this price.

The efficiency engine

MGL is the one-half of a duopoly. It operates city gas distribution networks in Maharashtra, primarily in the Mumbai-Thane-Raigad belt, and in parts of Karnataka. Its larger peer, Indraprastha Gas (IGL), controls the Delhi-NCR region. MGL stands apart for its efficiency.

Since 2002, it has never posted a return on equity (ROE) below 18 per cent. This is despite the capital-intensive nature of the business where gas distributors lay pipeline networks and build compressed natural gas (CNG) stations upfront, often years before meaningful revenue follows. Yet MGL's efficiency metrics have held through the years.

The reason is structural. MGL derives 71 per cent of its revenue from CNG, which offers auto consumers roughly 30 per cent

★★★★	10/10	6/10	8/10	2/10
Stock Rating	Quality Score	Growth Score	Valuation Score	Momentum Score

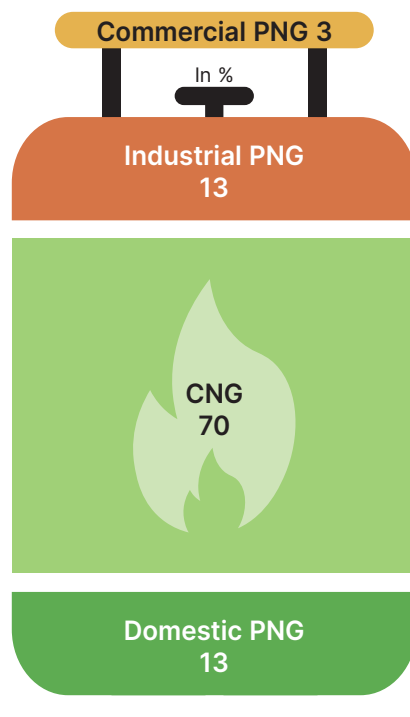
Data as of April 8, 2026

cost savings over petrol, a hard economic advantage that drives adoption without requiring persuasion. Piped natural gas (PNG), the other revenue contributor, once connected to a

household, eliminates the need for LPG cylinder bookings. Customers simply stop switching. These two dynamics, CNG's cost pull and PNG's stickiness, have made MGL's revenue base far more durable than its capital intensity might suggest.

CNG, both a friend and foe

Where MGL made its revenue from in the first nine months of FY26



Protected territory with tailwinds

City gas distributors are not just efficient businesses. They are protected ones. Government regulations grant infrastructure exclusivity for 25 years from authorisation: no competitor can lay a parallel pipeline in the same area during this period. Marketing exclusivity, which prevents third parties from selling gas through the company's pipes, lasts eight years for newer areas. After both expire, the economics of building a parallel network still remain prohibitive. A new entrant would face enormous capex, and if it chose to use MGL's infrastructure instead, it would pay MGL a tariff. The moat outlasts the legal protection.

The government's push on natural gas adds force to this position. Natural gas currently

accounts for just 6-7 per cent of India's energy mix, and the target is 15 per cent by 2030. City gas distributors are expected to be the primary vehicle for this expansion. EV infrastructure remains concentrated in metro cities; CNG stations cover tier-2 areas that EVs have not reached. The emerging interest among two-wheeler manufacturers in CNG opens a new customer segment.

MGL has been investing ahead of this opportunity. Over the last three years, the company has added 95 CNG stations and around five lakh domestic PNG connections. It is integrating pipelines at the construction stage with real estate developers. It is targeting Mumbai's bakery industry, a concentrated cluster with meaningful volume potential, as well as LNG stations for long-haul trucks. CNG penetration stands at roughly 35-40 per cent of addressable vehicles in its core geographies. PNG household penetration is below 50 per cent even in Mumbai. The growth headroom is meaningful.

Where the story gets murky

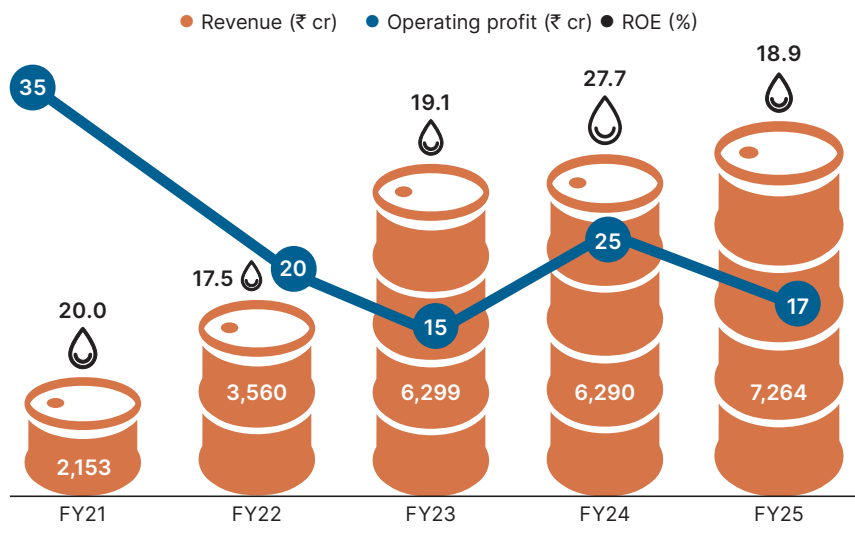
Two risks weigh on the business: one structural and one immediate.

The structural risk is electric vehicles. For a company that derives the bulk of its revenue from CNG, a faster-than-expected EV transition can compress volumes. A slower infrastructure rollout, customer preference for hybrids and CNG's cost advantage can keep the transition slow-moving. The risk exists nonetheless.

The more pressing risk is the cost of gas sourcing. MGL purchases gas from a mix of domestic and imported sources. Historically, the cheapest

Growing revenue, sliding margins

Acquisitions, capex and higher prices have dented margins, despite growth



component, gas sourced under the Administered Price Mechanism (APM) from legacy domestic wells at government-capped rates, formed the bulk of supply. As output from these ageing fields declines, APM's share has fallen, forcing MGL to rely more on costlier alternatives: gas from high-pressure, high-temperature deep-sea fields and imported regasified LNG.

The result has been meaningful margin compression, felt across the sector. MGL can pass costs on to customers, but only up to a point. CNG's competitive advantage over petrol depends on a material price gap. Narrow that gap too much and the economic case for conversion weakens.

The valuation question

MGL has always traded at a discount to IGL. Delhi's regulatory mandate for fleet conversion to CNG, covering cabs, autorickshaws, and buses, created a forced adoption that justified a premium growth

multiple for IGL as far back as 1998. Maharashtra's transition was slower and more organic, which has kept MGL as the steadier, lower-valued peer.

At 9.9 times trailing earnings against a five-year median of 12.6 times, that discount has now deepened into single-digit territory. For MGL to re-rate to its historical median, assuming annual returns of 12 per cent over five years, it needs EPS growth of just 7 per cent annually, a bar the company is currently clearing.

What determines whether the discount narrows or persists is simply volume. Gas price changes are nothing unusual, but if MGL keeps adding customers and vehicles steadily, through PNG household connections, the two-wheeler segment and gradual LPG-to-PNG substitution, the volume base can compound even through margin pressure. If that volume growth stalls, the current valuation offers a limited buffer. ☑

By Udhayaprakash

The bank's loss, your gain

How to buy repossessed property at a discount, and what to watch



Markets, buyers in other locations still find developers offering discounts of 10-15 per cent to move unsold inventory. But if you know where to look, you can do better. Properties repossessed by banks are routinely sold through auctions at prices 20-30 per cent lower than the prevailing market rate - regardless of where the broader market stands.

Under the SARFAESI (Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest) Act, 2002, banks can auction “stressed” properties to recover their loans. They seize these properties after the borrower misses multiple payments. Since banks auction foreclosed properties primarily to recover the outstanding principal and interest, such properties are often available at attractive discounts.

Buying at a bank auction, however, can be nerve-racking for a first-time home buyer unfamiliar with the rules and procedures. A large number of investors and buyers compete at every public auction, all hoping to secure a deal at a low price. Here is what you need to know before you bid.

Research what you are buying

Banks publish details of the properties they are auctioning to ensure wider participation. Checking individual bank websites is a tedious process. A better option is the Indian Banks Auctions Mortgaged Properties Information (IBAPI) portal at

ibapi.in - an initiative of the Indian Banks Association (IBA) in collaboration with the Department of Financial Services, Ministry of Finance. The portal lists residential, commercial, industrial and agricultural properties being auctioned online across the country. Buyers can register on the portal, view property details and participate in the auction process.

Find out the real costs

Auctioned properties are often caught in legal disputes. The previous owner may have defaulted on property tax payments, or utility bills may have gone unpaid for years. Once you buy, you are responsible for clearing these outstanding dues. Owners under financial stress also tend to neglect property upkeep - or do so deliberately, knowing they will lose it. Budget seriously for repairs and maintenance before you submit your bid. The real cost of the property can be significantly higher than the auction price alone.

Seek professional help

Get the property appraised before the auction. A professional property evaluator will help you determine its market value. The auctioning bank sets the base value using the guidance value prescribed by government regulations, the deemed market value of the property and any existing liabilities attached to it. A sensible approach is to set your bid at 10 per cent above the appraiser's valuation. Do not treat



Illustrations: Adobe stock

the bank's reserve price as a substitute for your own independent assessment.

Arrange funds beforehand

Bidders must deposit earnest money with the auctioneer before bidding begins. This is 10 per cent of the reserve price and is refunded to unsuccessful bidders. If you win, you must pay 25 per cent of the bid amount immediately upon confirmation of the sale. The remaining 75 per cent must be paid within 15 days, though the bank may extend this at its discretion. Arrange your funds in advance - either from savings or a loan. If you fail to pay by the

deadline, the deposit is forfeited.

Bidders planning to take a loan should get an in-principle home loan approval beforehand. Banks sanction such approvals based on the bidder's credit history and repayment capacity, on the condition that the bidder covers property registration charges, stamp duty and other legal costs, and submits a valid property registration document before disbursement. These charges are substantial, so keep surplus cash ready.



What to check before you bid

Tenants in the house: Banks usually ask tenants to vacate before the auction, but this does not always happen. Evicting a long-standing tenant in India is a lengthy and difficult process. Avoid any property that is already occupied.

Registration details of the property: Verify key documents - the original sale deed and a non-encumbrance certificate - through the Central Registry of Securitisation, Asset Reconstruction and Security Interest (CERSAI). Unregistered properties lack proper documentation and can attract disputes with claimants later.

Bid document and title deed: Engage a property lawyer to understand your liabilities after the purchase. While the bank conducts the auction, it is not the owner of the property. Your lawyer must verify the title and confirm it is legally valid.

Legal authority and indemnity certificate: Before you bid, confirm that the bank has the legal authority to conduct the auction - either through its SARFAESI enforcement proceedings or, where applicable, a recovery certificate obtained from the Debt Recovery Tribunal (DRT). The bank must also provide you with an indemnity certificate to protect you from future claims by the original owner. Ideally, the original owner should be the confirming party to the transaction.

NOC from the housing society: If applicable, obtain a No Objection Certificate (NOC) from the housing society and maintain detailed records of statutory dues, unpaid utility bills and any pending litigation.

Deduct TDS: If the property value exceeds ₹50 lakh, deduct TDS at 1 per cent of the property value. This must be credited to the PAN of the property owner. 

COVER STORY



GREAT COMPANIES **PAN!C** PRICES

**10 quality businesses the market
is currently mispricing**

By Abhinav Goel and Lekisha Katyal

"If you can keep your head when all about you
Are losing theirs and blaming it on you,
If you can trust yourself when all men doubt you.....
.....Yours is the Earth and everything that's in it..."

Rudyard Kipling, *If* (1910)

Kipling knew something about holding your nerve when the world around you has lost its. These lines were written about staying steadfast in the face of pressure. They could have easily been written about investing in a market downturn.

It is tempting to run for cover, like everyone else, when the market bears are on the prowl. But staying put and even leaning into opportunities hiding behind the pain is what separates a good investor from a great one. Market crashes, for all their damage, are when the best buying happens. It is when quality becomes available at discounted prices. The proof is in the pages that follow, along with 10 businesses that are beaten down today but fundamentally intact.

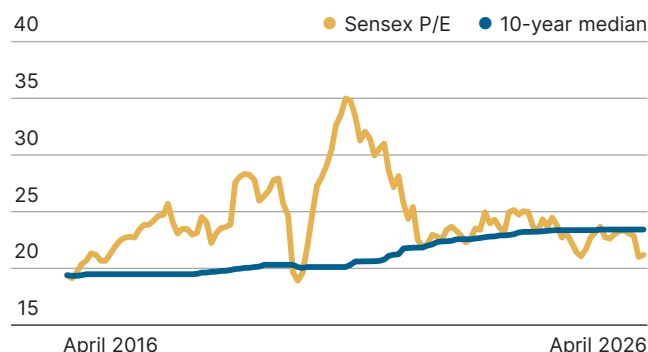
A rare entry point

The market downturn in the spring of 2026 has opened rare windows. For the first time since Covid, the Sensex is trading below its 10-year median P/E for an extended period. Since 2012, it has traded below this level in only 54 months or 32 per cent of the time. The last sustained stretch was during the Covid crash. From that point, the Sensex almost tripled.

Not just that. Our proprietary market barometer, which combines Sensex P/E, P/B, dividend yield and the 10-year bond-to-equity spread into a composite score, has dropped from 75 in September 2024 to the low 50s now. Every time this score has entered the

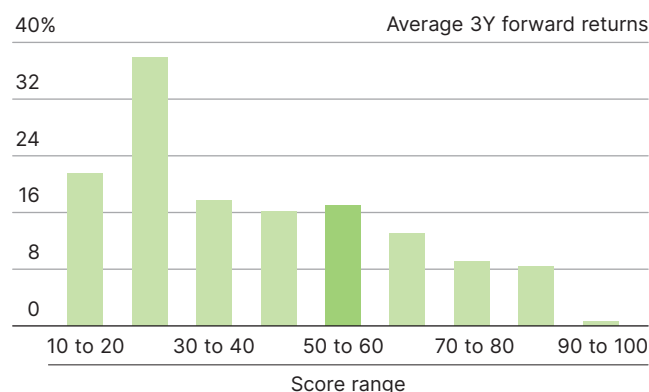
Below the line

Fear has dragged Sensex below its 10-year median P/E



Lower the price, higher the prize

Cheap markets have delivered better over the next three years in the last two decades



Data assessed from 2004 onwards. The scores are Value Research's proprietary market barometer that assess valuations. A lower score indicates a cheaper market. Scores were assessed for each month starting 2004. Average three-year forward returns calculated for each score range. For a detailed explanation of the methodology, see our market barometer page.

50 to 60 bracket in the last two decades, the Sensex has delivered average annualised returns of 17.1 per cent over the next three years (see chart 'Lower the price, higher the prize').

At the stock level, too, more companies are trading at a discount today than at any point in the last few years, according to our Valuation Score (see chart 'The sale is getting bigger'). The market discount, therefore, is not confined to headline indices alone. It is wide, deep and broad-based.

Do oil shocks really derail returns?

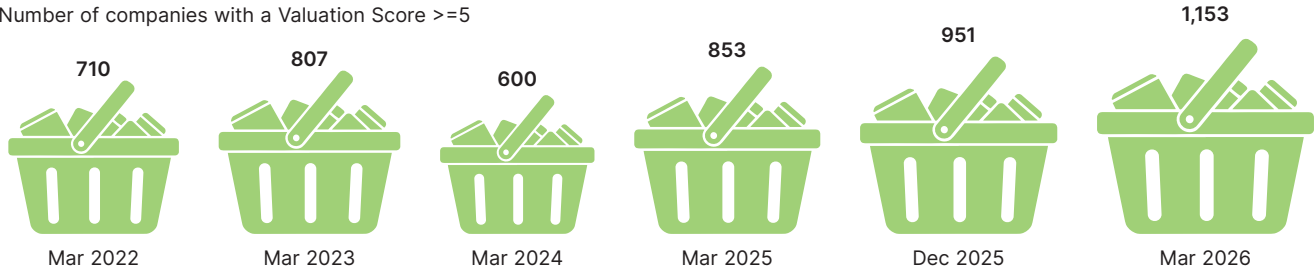
Still, the biggest fear that may hold investors back today is the recent surge in crude oil, which at one point pushed past \$100 a barrel as conflict disrupted the Strait of Hormuz, the chokepoint through which roughly half of India's crude imports and nearly two-thirds of its LNG pass.

The fear is legitimate, as India is meaningfully exposed to Gulf energy, and a prolonged conflict will put real pressure on the fiscal deficit, inflation and corporate margins. But past data on whether oil spikes actually hurt subsequent market returns actually offer comfort.

The sale is getting bigger

More stocks are attractively valued than ever before

Number of companies with a Valuation Score ≥ 5



Valuation Scores, part of our five-pillar Stock Ratings, considered as at the end of given months. A score of five or above indicates an attractively valued stock.

We identified all months since May 1998 in which crude oil prices rose more than 20 per cent. There were eight such instances over 28 years. From each of these months, we measured Sensex returns over the following six and 12 months. The median return across these episodes was 21 per cent after six months and nearly 18 per cent after a year, dwarfing the returns from other months (see the chart 'Oil goes up. So, oddly, do returns'). So, oddly, do returns).

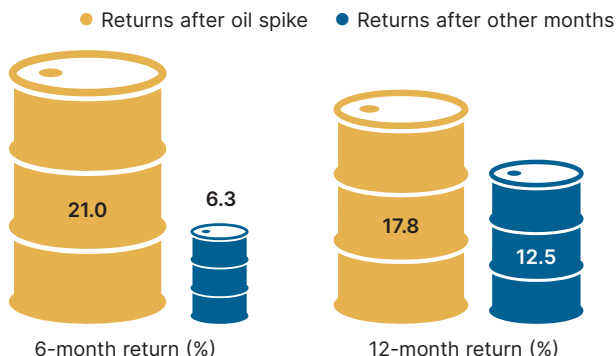
Markets therefore, have historically delivered more after oil spikes than after periods of calm because spikes compress valuations and create entry points that calm periods do not.

Today's market: Growing businesses, falling prices

If fear is not the enemy, then the opportunity lies in

Oil goes up. So, oddly, do returns

After every major oil spike since 1998, the Sensex gave better returns compared to any other month



Months since May 1998, with Brent crude rising more than 20 per cent identified as oil spikes, eight in 28 years. Sensex returns measured over the following six and 12 months and compared with median returns from other months.

what fear has created. Consider this: of 573 quality businesses, those with a market cap of over ₹500 crore, a five-year median return on capital above 15 per cent and a debt-to-equity ratio below one, nearly 70 per cent have delivered negative returns over the past year. About 38 per cent are down more than 20 per cent.

Yet these same companies have delivered median revenue growth of 10.8 per cent over the past year. Pause on that. These businesses are growing. Only the prices have fallen. This is classic market behaviour during panic. Selling becomes indiscriminate. Quality and weak businesses are treated the same. The distinction between a temporary price decline and permanent business damage blurs. This opens up a valuation gap where the real opportunity lies.

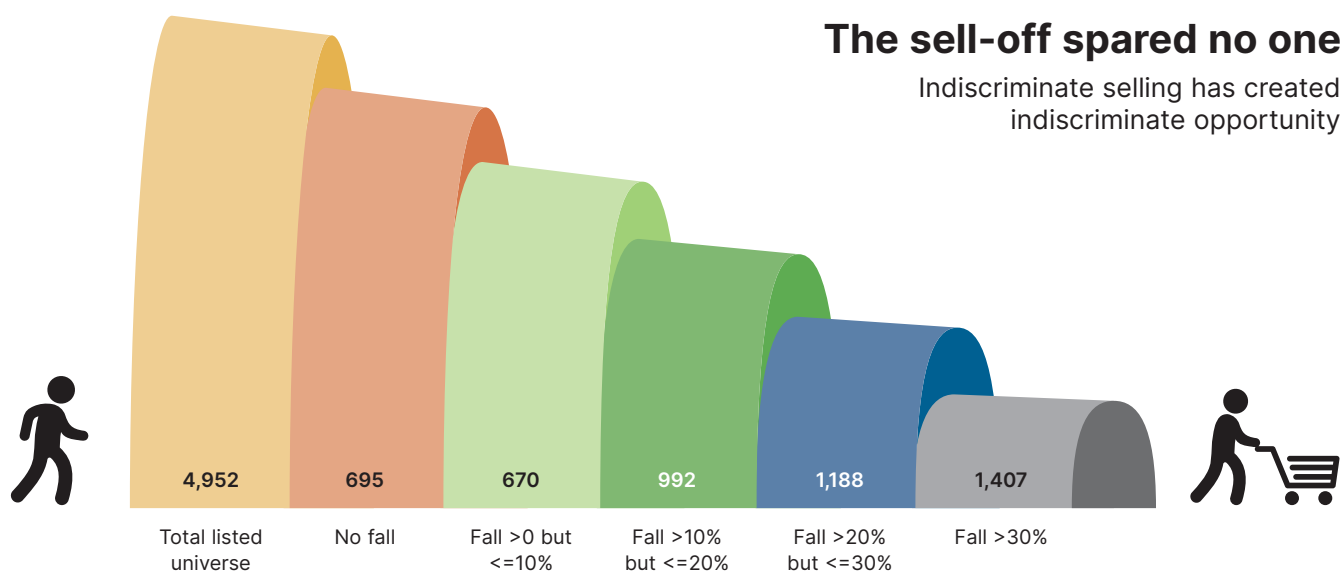
Entry price determines everything

One may come across a good business. For it to produce outstanding returns, however, it must be bought at a price that leaves room for the valuation multiple to expand.

Take a simple example. Two investors, A and B, identify the same high-quality company. A buys the business at a P/E of 50 times when sentiment is strong, and everyone agrees it is a great business. B buys the same company after a market correction has brought the P/E to 20.

Assume that the business itself has not changed and its earnings grow 12 per cent per annum over the next five years. At the end of this period, A and B, while both held the same company, will be sitting on vastly different returns.

Investor A would have earned returns close to the company's earnings growth, as the optimism was already priced in at the time of purchase. B, who



Data from beginning of the current year until March 30, 2026

bought at a deeper discount, will have earned much higher returns as he gained two things: the same earnings growth plus the benefit of valuation expansion. Even if the P/E rises only to 35, not back to 50, the returns become meaningfully higher (see the table ‘How multiples move outcomes’).

What separates the two types of investors is not

How multiples move outcomes

The price you pay decides the return you get

Investor A		Investor B
	Entry P/E	
50		20
Current EPS (₹): 100		
5,000	Current price (₹)	2,000
Projected EPS growth (%): 12		
Future EPS (₹): 176		
50	Exit P/E	35
8,800	Future price (₹)	6,160
	Return (% pa)	
12.0		25.2

Annualised EPS growth and stock returns estimated for five years

access to better information. It is the willingness to buy when the crowd is selling and the discipline to know why.

A case study in being right when others are wrong

Divi’s Laboratories in 2016-17 is as clean an example of this as Indian markets have produced. The US drug regulator found data integrity violations at the company’s Visakhapatnam facility in December 2016.

An import alert, a warning letter and a second inspection followed. The stock crashed more than 50 per cent from its peak. The verdict from the market was swift: stay away.

But the business itself had not broken. Divi’s was still supplying ingredients to 20 of the top 25 global pharma companies. Its competitive position and long-dated client relationships were intact. The violations, while serious, were fixable.

Those who recognised this and bought in made roughly 12 times their money over the next nine years as the company resolved regulatory wrinkles and continued to grow. Those who exited following the market exodus, without assessing the business quality, missed out on these gains.

That said, not every fallen stock is an opportunity. Many deserve to fall, and businesses do deteriorate. The real skill lies in separating a temporary setback from a permanent impairment. That is what our quality and valuation filters are meant to help you do.

Our methodology

How we separated the beaten down from the broken

In a crash, a real opportunity is one that meets two parameters: it should be a business that is genuinely good at a price that is genuinely depressed. Neither alone is sufficient. A good business at a fair price is just a sensible investment. A depressed price on a broken business is a value trap. Only when both conditions hold together does a contrarian investor have an edge.

To find such businesses, we applied the following filters:

Business scale. Companies with a market cap above ₹500 crore. This ensures reliable disclosures, adequate liquidity for retail investors and sufficient operating scale.

Revenue growth. Over 10 per cent annually over the last five years. A business that has grown its topline consistently through multiple cycles is demonstrably expanding, not merely surviving.

Capital efficiency. A five-year median ROCE above 15 per cent, with ROCE above 12 per cent in at least four of the last five years. The consistency requirement was deliberate as a single good year is incomplete.

Balance sheet health. Current debt-to-equity ratio below one. A clean balance sheet means the business

can withstand a prolonged downturn without being forced into distress.

Cash conversion. A five-year cumulative CFO-to-EBITDA above 65 per cent to ensure reported profits are actually generating fuel for the business.

Valuation discount. Current P/E to be at least 15 per cent below the stock's five-year median P/E to ensure deep mispricing against its own history.

Sharp correction. Stock to be at least 30 per cent below its all-time high reached after January 1, 2024. This ensures the correction is recent and meaningful. Keep in mind that few stocks have seen slight recovery since this filter was used. They are, however, still meaningfully below their peaks and continue to offer value.

These filters produced 74 names. From this, we selected 10 stocks through a deeper qualitative assessment of their competitive positioning, management quality and reasons for their price decline.

These businesses are trading at deep discounts but have the quality to recover and are thus worth adding to your research list. That said, these are not our stock recommendations but only a starting point for your own research.



Down on price, not quality

Company	Market cap (₹ cr)	P/E	5Y median P/E	Debt / equity (x)	FY21-25	
					Median ROCE (%)	Cumulative CFO / EBITDA (%)
Dixon Technologies	60,925	37.1	115.8	0.2	32.8	85.1
Coforge	38,435	31.1	49.7	0.1	31.7	73.3
CAMS	15,798	33.4	42.9	0.0	56.0	78.6
Caplin Point Lab	11,837	18.6	22.2	0.0	26.9	69.0
Action Construction Equipment	9,304	21.1	31.8	0.1	28.6	93.5
Railtel Corporation	8,352	24.8	32.7	0.0	19.7	79.0
Saregama India	6,376	31.9	45.6	0.0	21.2	75.1
Dodla Dairy	6,047	22.3	29.7	0.0	22.9	83.3
Epigral	3,619	10.4	19.3	0.3	25.3	74.6
Tinna Rubber And Infrastructure	1,038	19.9	30.8	0.4	24.5	71.5

Data as of March 27, 2026

ACTION CONSTRUCTION EQUIPMENT

Built to lift



ACE is India's leading manufacturer of cranes and construction equipment, with dominant positions in both mobile and fixed tower cranes. Its range spans construction, logistics, agriculture, and defence. Few equipment companies in India serve this many end markets from a single manufacturing base. The core cranes, material handling, and construction equipment segment drives 94 per cent of revenues.

Dominant market share in capital equipment is a moat that reinforces itself. Cranes break down on jobsites, and if spare parts are not available within hours and a technician cannot reach the site by morning, the contractor loses money. ACE's 125-plus dealer network with deep penetration into tier-2 and tier-3 markets, where Chinese or European brands have almost no service presence, is the real competitive edge. As the installed fleet grows each year, spare parts demand deepens those relationships further.

The stock's P/E is close to 20 times, below its five-year median of 32, due to two largely timing-related concerns. Tighter emission norms in FY25 pulled forward customer purchases, creating a demand hangover in FY26. General elections delayed government project approvals through much of the same period. Neither is structural. The more persistent risk is Chinese competition in heavy cranes, where recommended anti-dumping duties remain un-notified.

The path ahead is more expansive than the current cycle suggests. A joint venture with Japan's Kato Works pairs globally benchmarked engineering with ACE's manufacturing depth to target exports. Defence order wins are opening a second growth arc that barely featured in revenues until recently. India's infrastructure buildout is the backdrop and ACE is among its most direct beneficiaries.

6/10

Valuation Score

23.5

5Y revenue growth (% pa)

-53.9

% down from all-time high

COMPUTER AGE MANAGEMENT SERVICES

The ledger keeper



Every time an Indian invests in a mutual fund, through an app, a distributor, or a bank branch, someone has to process the transaction, store the record, send the confirmation and handle any redemption that follows. That someone is CAMS. As India's largest registrar and transfer agent, it services ₹55 lakh crore in mutual fund assets across 29 fund houses, charging a fee on everything that flows in and out. Beyond mutual funds, it is expanding into alternative fund administration, NPS recordkeeping, insurance repositories and payment aggregation.

Fund houses do not switch registrars easily. Migrating millions of investor accounts, distributor workflows and decades of transaction history is operationally prohibitive. Every fund house that signs with CAMS stays for decades, not quarters. With only two registrars of meaningful scale in India, this is a duopoly protected by switching costs and regulatory barriers. The business

runs on fixed assets of just ₹406 crore, carries no long-term debt and every new SIP adds revenue at near-zero marginal cost.

Growth, however, is structurally capped. While industry assets under management grew 18 per cent in Q3 FY26, CAMS' revenue rose just 5.6 per cent. As assets scale, the fee per rupee declines, a built-in compression that limits how fast revenues can grow. SEBI's ongoing review of mutual fund expense ratios adds another layer of risk: sustained pressure on fund houses could eventually be passed on to CAMS through fee renegotiation.

The long-term case rests on India's mutual fund penetration remaining a fraction of developed market levels. Every new investor, every new SIP, flows through the infrastructure CAMS has already built. Non-mutual fund revenues are reaching 15 per cent of the total, gradually broadening the base.

6/10

Valuation Score

15.2

5Y revenue growth (% pa)

-40.7

% down from all-time high

CAPLIN POINT LABORATORIES



Profit in the periphery

Caplin makes medicines, everyday pills to injectable drugs, and sells them across Latin America, Africa and the Caribbean. While most Indian pharma companies spent two decades chasing the US market, Caplin took a quieter route: focusing on regions that were fragmented, underserved and largely overlooked. Rather than handing products to distributors, it built its own network to reach doctors and pharmacies directly.

Over 35 years, that presence has enabled a gradual shift toward higher-value and speciality medicines, which now account for about 25 per cent of revenue. Emerging markets account for 79 per cent of sales.

That on-the-ground network is the moat. Operating across 23 fragmented countries means knowing how doctors prescribe, how regulatory calendars operate and how to reliably cold-chain injectables. The business is entirely debt-free, funds every expansion from internal accruals, and has maintained EBIT

margins above 30 per cent through cycles, reflecting pricing power in markets where Caplin has first-mover status and genuine brand loyalty.

The stock trades at 19 times earnings, about 16 per cent below its historical median. The compression reflects recent growth moderation from an ongoing ₹1,000 crore capex cycle as Caplin shifts from its traditionally asset-light model to a more capital-intensive one.

The next phase rides on several new bets: higher-value injectables, cancer medicines, weight-loss drug injectables and a push into Brazil, Latin America's largest pharmaceutical market, where regulatory approval has just been received. For a company that built a profitable, cash-rich franchise with no regulated-market tailwind, these are additions to an already solid base. The risk is execution. Each bet has its own timeline, and the market's patience for them may stretch.

6/10

Valuation Score

17.6

5Y revenue growth (% pa)

-40.9

% down from all-time high

COFORGE



Niche by design

Most IT services companies compete on price and scale, offering similar services to broadly similar clients. Coforge is different. It has made a deliberate, multi-year bet on deep specialisation in four verticals: banking and financial services, insurance, travel and transportation and healthcare. Within each, it has built genuine expertise in the business processes, regulatory frameworks and legacy technology that clients need to modernise.

That specialisation shows up in client retention. Around 90-94 per cent of its revenue comes from repeat business. Clients stay because leaving is expensive; years of embedded knowledge and system integration cannot be handed over to a new vendor without serious risk. The executable order book has grown 23 per cent annually since 2018, reaching \$1.72 billion as of December 2025.

The stock has been caught in the broad

de-rating of Indian IT, compounded by fears that AI will displace services jobs and compress revenues. For Coforge, this fear is largely misplaced. Services most exposed to AI displacement, such as routine application maintenance and business process management, make up less than 20 per cent of revenues. The fastest-growing areas within the company, data integration, intelligent automation, and AI-native engineering, are direct beneficiaries of

enterprise AI adoption. The acquisition of 'Encora', an AI digital engineering firm, tilts the revenue mix further in that direction.

Enterprise technology modernisation is a long story. Banks, insurers and airlines built on decade-old systems will spend the next decade transforming them, and Coforge sits squarely in the path of that spend. Near-term margin pressure from integrating acquisitions will create quarterly noise. But the business has long-term tailwinds behind it.

6/10

Valuation Score

23.6

5Y revenue growth (% pa)

-42.9

% down from all-time high

DIXON TECHNOLOGIES



The maker's maker

Dixon Technologies is India's largest electronics manufacturing services company. It partners with global and Indian companies to manufacture smartphones, LED televisions, washing machines, refrigerators, laptops, set-top boxes, telecom equipment and wearables. Its clients include Samsung, Motorola, Xiaomi, HP, Asus and Signify, among others.

What makes Dixon difficult to replicate is the depth of these relationships. Brands do not switch manufacturing partners mid-cycle. The custom machinery, supply chain integration and institutional knowledge built up over the years make it too disruptive and expensive.

The stock, which once traded above 100 times earnings, has been de-rated to nearly 40. The pressure has several sources. AI data centres are consuming enormous memory chip capacity, pulling supply away from consumer electronics and pushing up build costs for low-end smartphones by 20-25 per cent, weakening

demand in the mass market where Dixon is most active. When brands cut shipments in response, Dixon's volumes suffer even though memory chips are a pass-through cost.

Separately, Motorola, Dixon's largest client, has seen volumes come under pressure from competition, with some manufacturing being distributed to other vendors. Investor anxiety over the PLI incentive expiry and delayed approvals for the Vivo joint venture has added to investor concerns.

Yet, the structural story is intact. Dixon is moving up the value chain from device assembly to component manufacturing, a shift that unlocks higher margins and reduces dependency on any single client or incentive. Camera module capacity is expanding from 4 crore to nearly 20 crore units annually. A display module plant with HKC is nearing completion, with production expected by mid-FY27. Each step deepens client relationships and improves the quality of earnings.

5/10

Valuation Score

54.6

5Y revenue growth (% pa)

-47.7

% down from all-time high

DODLA DAIRY



Farm to shelf

Dodla Dairy does something that sounds simple but proves extraordinarily difficult at scale: it buys milk directly from 1.5 lakh farmers and sells branded dairy products directly to consumers. Procurement runs across five southern states through over 900 routes with no middlemen. Liquid milk is the core business, but value-added products like curd, ghee, paneer, butter and flavoured milk are growing faster and carry better margins. A cattle-feed business that supplies the same farmers who provide it with milk deepens those relationships, widening the procurement advantage.

The business's strength lies in what cannot be bought quickly. Owning procurement across 8,500 villages means knowing which routes are flush in which season and how to maintain supply when seasonality kicks in. Dodla commands a pricing premium over state cooperatives, giving it the flexibility to absorb input cost spikes without losing

farmers to rivals. This resilience kept its network intact through last year's squeeze.

The stock trades at roughly 22 times earnings, below its historical median of nearly 30, reflecting caution after erratic rainfall in Maharashtra disrupted milk supply and pushed procurement costs higher. Dodla chose not to fully pass these costs on, prioritising market share over near-term margins. What this masks is a gradual improvement in mix, with branded value-added products growing at a healthy pace.

India's shift from loose milk to packaged branded products is a decade-long trend, and Dodla is well placed to ride it. Its African business is expanding into markets that resemble India two decades ago: large populations, low organised dairy penetration and no strong branded player. The risk is that procurement costs stay elevated longer than expected, keeping margins depressed and the market cautious.

6/10

Valuation Score

11.7

5Y revenue growth (% pa)

-34.2

% down from all-time high

EPIGRAL

Salt to specialty



Epigral primarily works with salt. Electrolysing it yields caustic soda and chlorine, chemicals that power India's textile mills, paper factories and water treatment plants. What separates it from a commodity producer is what it does with the chlorine next: converting it into CPVC resin for plumbing pipes, epichlorohydrin (ECH) for epoxy coatings (used in industrial flooring) and adhesives and chemical intermediates for agro and pharma manufacturers.

These derivatives now account for over half of revenues, up from just a quarter in FY22. The edge is structural. While peers buy chlorine at volatile spot prices, Epigral meets 72 per cent of its chlorine needs internally. This reduces input cost volatility and improves margins. As more chlorine moves into its downstream chain, the model strengthens and becomes harder to displace.

The stock trades at 10 times earnings, roughly half its five-year median. The

de-rating reflects a real pile-up of pressures – softer realisations, rising raw material costs, excess CPVC inventory bought at higher prices, an extended monsoon and a plant maintenance shutdown. Grasim's entry into both CPVC and ECH with the same captive chlorine advantage adds a deeper risk: a well-capitalised competitor entering both chains just as industry capacity is rising, which could prolong pricing pressure.

Two large capacity additions, CPVC resin and ECH, both doubling in scale, are on track for the first half of FY27. Anti-dumping duties on competing imports remain in place until 2029, providing pricing protection during the ramp. If realisations recover even partially toward FY24 levels, the operating leverage on a doubled capacity base will be considerable.

The risks are real but known: slower recovery, intensified competition and continued global oversupply in caustic soda.

8/10

Valuation Score

33.1

5Y revenue growth (% pa)

-65.2

% down from all-time high

RAILTEL CORPORATION

More than Wi-Fi



Most people know RailTel as the company behind free Wi-Fi at railway stations. That is accurate but incomplete. RailTel owns one of India's largest telecom infrastructure networks, over 63,000 route kilometres of optical fibre laid along railway tracks, passing through 6,000 stations and 21,000 kilometres of city access networks. This right-of-way, accumulated over decades, is an asset no private player can replicate. The company uses it to provide broadband, enterprise connectivity, data centre services and to execute large technology projects for government agencies.

The business runs on two engines. The telecom segment: enterprise broadband, leased lines, data centres and RailWire retail broadband, contributed ₹1,363 crore in FY25. The project segment, executing government and railway technology contracts, contributed ₹2,115 crore. The company is debt-free, consistently profitable, has paid dividends

every year since listing and has an order book of over ₹10,166 crore.

The stock is down nearly 58 per cent from its all-time high. Two things drove this. Railway stocks were swept up in enormous excitement as government infrastructure spending surged, pushing valuations well beyond what earnings justified. That euphoria is unwinding. Separately, while revenues grew 20 per cent in the first nine months of FY26, net profit

grew only 9 per cent. Higher execution costs on large projects temporarily compress margins, which then recover at completion.

The structural case is intact. India's digital infrastructure agenda, Kavach train safety deployment, government digitisation and rural broadband expansion feed directly into RailTel's order pipeline. A new push into data centre colocation, in partnership with L&T and Anant Raj, adds a recurring revenue layer to what has been a project-heavy business.

5/10

Valuation Score

25.3

5Y revenue growth (% pa)

-57.9

% down from all-time high

SAREGAMA INDIA



Old songs, new money

Every time someone listens to a classic Bollywood song, there is a good chance Saregama owns the rights to it. The company holds India's largest music library of over 1.8 lakh songs across several Indian languages. This catalogue took decades to build and cannot be replicated. New entrants can acquire fresh content, but they cannot buy back the classics. Every stream on Spotify, YouTube or Apple Music, every use in a film or advertisement, every use of a legacy track anywhere generates licensing revenue for Saregama.

The business model is genuinely unusual. Most media companies spend heavily on content and hope it earns back. Saregama's catalogue is largely already paid for. Licensing revenue flows with minimal incremental cost.

As streaming penetration in India deepens, the same catalogue earns more every year. The company also earns through its Carvaan music player, artist management, film and TV

content rights, and events.

The stock trades at a 30 per cent discount to its five-year median P/E. Two specific events drove the decline. First, Airtel shut down Wynk, its music streaming platform and a meaningful distribution channel for Saregama, directly hurting music revenue. Second, film releases the company had acquired were delayed, pushing video revenue into future quarters, while the events segment fell sharply. The market treated both as structural problems. They are timing issues.

Neither represents damage to the core business. Saregama is debt-free with strong cash flows, and its catalogue generates revenue regardless of which platform delivers it. India's music subscription penetration stands at just 1 per cent, among the lowest globally. As digital payments expand and premium content adoption grows, that number will rise, and Saregama's catalogue will be available for collection.

6/10

Valuation Score

17.6

5Y revenue growth (% pa)

-52.0

% down from all-time high

TINNA RUBBER AND INFRASTRUCTURE



Turning trash around

Every year, India discards millions of worn-out tyres. They do not biodegrade; they pile up in landfills and, when illegally burnt, release toxic fumes. Tinna Rubber and Infrastructure has built a profitable business around this problem. It collects discarded tyres and converts them into useful products: rubber for roads, reclaimed rubber for tyre manufacturers, steel abrasives and speciality compounds.

It is India's largest tyre recycler with an annual crushing capacity of 1.85 lakh tonnes. This scale matters because customers take months to approve new suppliers, and setting up a compliant recycling operation requires significant capital and certification.

These barriers make it difficult for new players to challenge Tinna's position. The company recycles 99.5 per cent of every tyre it processes, a circular economy model that appeals to government policy and global tyre companies with sustainability commitments.

The stock trades at nearly 20 times earnings, roughly 35 per cent below its five-year median. However, the reasons are largely temporary. An extended monsoon hurt volumes, raw material costs at the Oman plant rose sharply and the South Africa facility is still ramping up with losses expected until break-even. The Iran conflict has added to investor nervousness, as the company imports raw materials from the Middle East and operates a plant in Oman.

The long-term case for Tinna Rubber is structural. India's discarded tyre volumes are projected to more than double by 2030. Government rules now require tyre companies to recycle every tyre they sell, and those that cannot must buy recycling credits from companies like Tinna. That policy-backed demand runway, combined with capacity expansion in Saudi Arabia and South Africa, positions the company well for the years ahead. [🔗](#)

6/10

Valuation Score

32.7

5Y revenue growth (% pa)

-73.6

% down from all-time high



‘The market is clearly far more attractive today’

Nippon India Mutual Fund’s Sailesh Raj Bhan on the pockets of value emerging after months of broad-based correction

Indian markets have witnessed a meaningful correction over the past 18 months, not just in price, but in time as well. But for Sailesh Raj Bhan, President and CIO – Equity Investments at Nippon India Mutual Fund, this correction has done more good than harm. Valuations have moderated, sentiment has turned cautious and enough negative news has been priced in, making

the market far more attractive than it was two years ago. In his view, this is no longer a market where everything is expensive.

Bhan brings over 27 years of experience in Indian equity markets, with more than 19 of those at Nippon Life India Asset Management. An MBA in Finance and a CFA by qualification, he manages funds such as the Nippon India Large Cap Fund, Nippon India

Multi Cap Fund and Nippon India Pharma Fund, with the large- and multi-cap funds earning five-star ratings from **Value Research**.

In this interview, Bhan also shares his views on the outlook for IT services amid the AI disruption narrative, the shifting dynamics between public and private sector banks, the ‘China+1’ opportunity in pharma and his framework for investing in high-P/E stocks.

Over the last 18 months, markets have consolidated. While there hasn't been a sharp correction, valuations have moderated, from around 19x to about 21x now after the rebound. Do you think the market is fairly valued, or is there room for further correction? And which pockets look overvalued or undervalued?

There has been a meaningful time correction in the market, and in several pockets, a price correction as well. So it's really been a combination of time and price corrections that have played out. Compared to where we were two years ago, the market is clearly far more attractive today. Even within this period, a lot of things have evolved, including policy support such as GST-related measures, income tax changes and an improving earnings outlook. Before the recent geopolitical disruptions, we were looking at early double-digit earnings growth.

If you look at the market at around 18-19x earnings, and if the economy can deliver 13-15 per cent earnings growth over a sustained 5-10-15-year period, these are fairly attractive levels. Importantly, there has been enough derating and a fair bit of negative news, whether it is geopolitical tensions, energy-related concerns or FII selling. In a way, that is healthy because it creates better entry points. Overall, valuations today look reasonably sensible, and enough opportunities are emerging.

On sectors, what is interesting is that you are now getting high-quality, well-established companies that have not delivered returns for 5-7 years at reasonable valuations. These include parts of private sector banks, consumer companies and NBFCs. These are businesses with strong franchises unlikely to be disrupted in the near term. Structural shifts in

such sectors take 10-20 years, not three to five years. However, due to heavy FII ownership, they have borne the brunt of recent selling, especially in the last few months.

That has created attractive opportunities in large, high-quality names such as private sector banks, utilities (especially power utilities) and even pharma, where valuations are becoming more reasonable.

IT services, as we discussed earlier, are another pocket where valuations have corrected meaningfully. Consumer names, too, are starting to look interesting, largely because near-term growth expectations have softened, and



The good part of the recent correction is that it is broad-based. Now, we're seeing sectors correcting at different paces, creating selective allocation opportunities.



sentiment has turned cautious.

The good part of the recent correction, especially since November, is that it has been broad-based. Earlier, we were in a market where valuations were elevated across sectors. Now, we are seeing dispersion, with different sectors correcting at different paces, creating opportunities to selectively allocate. So, this is no longer a market where everything is expensive. It's a market where stock and sector selection are increasingly becoming important.

The fate of Indian IT companies is the hottest question in the right now. Is the terminal risk as

serious as the market portrays it to be? And given the derating, do you find them attractive or would you rather wait for more clarity?

The final outcome, nobody really knows how it will play out over the next few years. But based on where we stand today, and what AI has delivered so far, yes, there could be some long-term risks to terminal value. Having said that, these companies are not static; they evolve. Like people, they will adapt, reinvent and find ways to remain relevant.

The more important question is: What are you paying for? If you are buying these businesses at, say, a 6-7 per cent earnings yield and they are generating ₹10,000-20,000 crore in cash flows, the risk-reward starts turning in your favour quite meaningfully. At those valuations, you are largely paying for the current business and not for an aggressive future. In that sense, the market is not pricing in excess optimism; rather, it is factoring in significant risk. The AI narrative today is creating value in some parts of the market while leading to perceived disruption in IT services. That, in turn, is allowing you to buy these companies at better prices. Now, to say that these businesses may not exist five years down the line, that would have far-reaching implications across sectors and industries, not just IT. If that were the base case, many other market segments would also be at risk, yet they are trading at much higher valuations.

Also, look at the balance sheets. These are companies with cash of ₹20,000-50,000 crore. If they are unable to navigate change, a large part of corporate India would face challenges, as most companies don't have the financial strength, talent or adaptability to do so. So, in all probability, valuations today are in

favour of investors. Historically, new technologies come with strong narratives, but real-world adoption takes time. For instance, GPS was talked about in the late 1990s, but widespread usage only picked up around 2010. There is usually a lag between promise and actual impact. AI may move faster given the scale of investment, but even then, companies will need to build practical use cases and solutions on top of this infrastructure. So, to my mind, current valuations are probably overestimating rather than underestimating risk.

I wanted to get your view on public sector banks. As we briefly discussed earlier, they were almost written off during the period when private sector banks led the market. But more recently, we've seen a strong turnaround. Loan growth has picked up, balance sheets have been cleaned up and the space has seen a meaningful re-rating. Even after this rally, how do you assess the opportunity? Do you think there is still value, or has the positioning changed?

Interestingly, some large private sector banks are now approaching valuations closer to those of public sector banks. So clearly, the narrative has shifted.

Public sector banks do have a runway, and the improvements you mentioned, such as balance sheet cleanup, better asset quality and stronger loan growth, are real. However, structurally, they remain different from private sector banks.

Private sector banks tend to be more retail-focused, more consumer-driven and typically operate with different levels of efficiency and governance structures. Because of that, it is

difficult to justify public sector banks consistently commanding the same valuations as private sector peers.

That said, there are a few leaders within the PSU banking space, maybe the top two, three or four banks, that do have the capability and the 'right to win'. These institutions have the scale, capital and improved execution to compete more effectively, and they should continue to do well.

But beyond these select names, the broader PSU banking space is now fairly well priced. The scope for further significant re-rating from current levels may be limited.

On the other hand, what is interesting today is the valuation gap emerging in private sector banks. Due to significant foreign investor selling in recent quarters, financials alone may have seen outflows of ₹60,000-80,000 crore, and large private sector banks have corrected meaningfully. Foreign investors traditionally had higher ownership in private banks and relatively lower

exposure to PSU banks. So, the brunt of the selling has been felt more in private-sector names, which are now creating more attractive valuations.

Therefore, while select PSU banks with strong execution can continue to perform, from a valuation perspective, the opportunity today may be more compelling in large private sector banks.

For the first time in over 15 years, public sector banks have outpaced private banks in loan book growth. Despite the significant re-rating of PSU banks, do you think they are still undervalued in this context? And is this growth coming at a cost or have private banks turned too conservative?

It's an interesting question. And you're right, public sector banks have done well. But the key issue is sustainability. When you assign a P/E or P/B, you are asking whether this performance can be sustained over the next three to five years.

That's where it becomes less clear. There have been deposit-related challenges in parts of the banking system. Public sector banks, because of their institutional access and deposit franchise, have been relatively better placed, enabling them to grow their loan books faster. On the private sector side, growth has been slower, but that is not necessarily a negative. In many cases, it reflects a more calibrated, risk-adjusted approach. In banking, growth is actually the easiest thing to achieve; there is always demand for credit if you are willing to take on more risk or price it aggressively.

So, the better question is not just about growth, but the quality of that growth. Even among PSU banks, the better-quality names are also mindful of this. It's not as if one segment is

AI may move fast, but even then, companies will need to build practical use cases. To my mind, current valuations are overestimating than underestimating risk.



aggressive and the other is not; it's more nuanced. From a structural perspective, the private sector banking story is not going away. These banks will continue to have their own growth trajectory and competitive advantages. Ultimately, one or two years, or a few quarters of relative outperformance, doesn't change how these businesses should be valued over a five- to seven-year period. Hence, while PSU banks have had a strong run and select names can continue to do well, the broader positioning needs to be viewed in a longer-term context rather than extrapolating recent trends.

'China+1' in pharma has been a popular narrative for 4-5 years now. Is it translating into results, including in your own portfolio companies, or does it remain more of a story than a reality?

First, we need to understand what China+1 really means. There are two aspects to it. One is global companies looking to diversify away from China. That is real. There is a clear intent to reduce dependence and build alternative supply chains. But diversification will only happen if the alternative, like India, has the required capabilities. China is still 10-20 times larger in scale, with deeply integrated value chains and strong cost competitiveness. So, this shift is gradual; it's a journey, not an overnight change. Even then, most global companies will not move the bulk of their business. They may shift 10-15 per cent, which is what China +1 means in practice.

The second aspect is India reducing its dependence on China, especially for APIs and raw materials. Historically, a large share of APIs, particularly in segments like cardiac drugs, has come from China. This was partly due to pricing policies,



Paying 2x PEG may apply to 1-2 per cent companies in India. But at certain points, you had 25-30 per cent of the market trading at such multiples. That's where we are cautious.



which made local manufacturing less viable, while China built massive scale and cost advantages.

Now, that is changing. Government incentives like PLI are helping build domestic capabilities. Companies themselves are becoming conscious of supply chain risks. Even if alternative sourcing is slightly more expensive, they are diversifying, either by developing new suppliers or through backward integration. So what you are seeing is a broader de-risking exercise. Companies are building resilience, ensuring they aren't dependent on a single geography or supplier. Those who do this well will emerge stronger as they can operate across environments.

So, to your question, China+1 isn't just a narrative; it is not a quick-win story either. It requires building an ecosystem, capabilities, infrastructure and scale. That process is underway, but it will take time to fully reflect in outcomes.

Some stocks in your multi-cap portfolio trade at a P/E of above 100 times. What assumptions do you make and under what circumstances would you invest in a high P/E stock?

Valuation is not just about P/E. A more nuanced way is to look at it from a PEG perspective.

Typically, companies growing at a

certain rate can justify a P/E of up to 2x their growth rate. But that works if the growth is structurally higher than average and can be sustained for at least a 3-5-year period. You need that scalable, long-term growth so that, over time, the valuation of a fast-growing company and a more moderately priced company converges. So, we are willing to pay for high-quality businesses at sensible valuations, where we have conviction that growth will be above average. But just because a company is growing fast, we won't pay 3x PEG or stretch valuations. That is only for high-quality, sustainable businesses.

Second, some businesses are in early stages, where margins may be compressed. If we see a clear path to margin expansion, especially when comparable businesses operate at much higher margins, we are willing to pay a premium to valuations.

Third is the longevity of growth. If a business has the potential to grow at, say, 20 per cent for 15, even 20 years, it deserves a premium multiple. But they are very rare.

In our view, paying 2x PEG would apply to maybe 1-2 per cent of companies in India. But at certain points, like around September 2024, you had 25-30 per cent of the market trading at such high multiples. That's where we become cautious. So, we are selective in paying premium valuations only where there is strong visibility into growth longevity, or where margins are depressed but have a clear path to improvement and the business has the right to win. If it's a duopoly or a structurally strong industry, we may be more comfortable paying up because the probability of stability is higher. But in highly competitive or commoditised markets, we avoid paying high multiples because too many variables can change. 

The passive investing choice is not so passive

Getting passive investing right is also about choosing the right index



Vinayak Pathak/AI-generated image

Spend enough time talking about investing and one particular view almost always comes up: someone will always announce they are switching to passive investing, no more stock-picking, no more fund manager dependency, just a simple index fund and a monthly SIP. The room nods approvingly. And that, almost always, is where the conversation ends. It rarely goes one step further to ask, which index you should invest in.

For most Indian investors, the answer is the Nifty 50 almost by default. It is the oldest, the most recognised, the one whose number flashes on every news ticker. Choosing it feels like choosing the market itself. But the Nifty 50 is not the market. There are 50 companies. And how those 50 companies are arranged inside the index has consequences that most passive investors never pause to examine.

Half your money ends up in just 10 stocks

Here is a fact that tends to surprise people. The top

10 holdings of the Nifty 50 account for 54.4 per cent of the entire index. Every rupee you invest has more than 50 paise invested in just 10 businesses. If those companies go through a difficult few years, a regulatory change, a valuation reset after years of premium pricing, or simply a period of slower growth, your supposedly diversified portfolio will feel it acutely.

This is not a design flaw. It is simply how free-float market-capitalisation weighting works. Larger companies occupy more space and in a universe of just 50 stocks, the biggest names inevitably dominate.

Looking beyond the Nifty 50

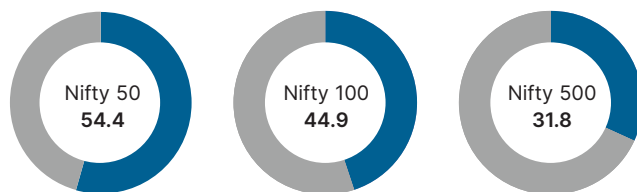
The Nifty 100 and the Nifty 500, on the other hand, offer a somewhat different construction. The Nifty 100's top 10 account for around 45 per cent of the index. The Nifty 500's top 10 account for nearly 32 per cent.

To put that in perspective: in the Nifty 50, a single

Where breadth helps

The wider the index, the less any single name hurts

● Top 10 companies by weightage (%)



Data as of March 30, 2026

bad year for Reliance Industries or HDFC Bank moves the needle for your entire portfolio. In the Nifty 500, no single company, however large, carries that kind of weight. The portfolio's fate is spread across 500 businesses, across sectors and market caps, across different stages of the economic cycle. More importantly, the Nifty 500 is not simply a diluted version of the Nifty 50 with more names added. It gives you the stability of India's largest, most established businesses just like the Nifty 50, while also capturing the growth potential of mid- and small-cap companies. The established giants keep the portfolio grounded. The emerging ones give it room to compound faster.

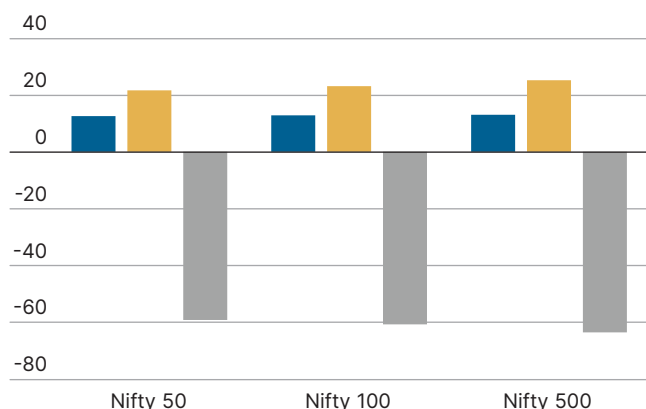
Nifty 50 vs Nifty 100 vs Nifty 500

The Nifty 500 has delivered an average five-year daily

Wider, but wilder

Broader the index, bumpier the investment journey

● Avg 5Y rolling return (% pa) ● Annualised volatility (%)
● Worst drawdown (%)



Rolling returns and standard deviation (for volatility) since January 2008. Worst drawdowns since January 2003.

rolling return of 13.2 per cent annually since January 2008. The Nifty 50 has delivered 12.7 per cent. That is a gap of 0.5 percentage points every year, in favour of the broader index. The Nifty 100 sits at 13 per cent.

That extra return, however, comes with a cost. The broader indices are more volatile. The annual volatility (measured by standard deviation) of the Nifty 500 and Nifty 100 based on one-year daily rolling return since January 2008 is 25.5 and 23.4 per cent, respectively, both higher than the Nifty 50's 21.9 per cent.

The difference is simply that as broader indices expand to include more mid- and small-cap companies, daily price swings grow larger. This is not incidental. Mid- and small-cap businesses are inherently more sensitive to economic cycles, liquidity conditions and investor sentiment than their large-cap counterparts. Their earnings can swing more sharply. Their stocks can fall harder and faster when the mood turns. The volatility in the broader indices reflects this underlying reality.

The real test comes in downturns. The worst drawdown figures reveal what broader exposure means when markets turn ugly. Since January 2003, the Nifty 50 has fallen as much as 59.9 per cent from its peak at its worst point. The Nifty 100 fell 61.5 per cent at its worst. The Nifty 500 fell 64.3 per cent. Simply put, more mid- and small-cap exposure and less concentration in large caps has historically meant a deeper fall during severe market stress. Smaller companies with thinner balance sheets and less pricing power are hit the hardest when financial stress peaks and the broader indices absorb that fully.

There is no default answer

Passive investing removes many costly decisions. It spares you the guesswork of when to buy, when to sell, which fund manager to trust and which sector to chase. But one decision still remains: Which index should you own? And too often, that choice is made on autopilot, with investors defaulting to the Nifty 50 simply because it is familiar.

That is not always wrong. However, it has its own trade-offs. The Nifty 50 offers lower volatility and shallower drawdowns but it is more concentrated. The Nifty 500 has delivered better returns but with sharper swings and deeper falls. The Nifty 100 sits somewhere in between. So, the takeaway is that passive investing may be effortless but choosing the index should not be. Each one asks you to accept a different trade-off and a different reward. ☒

Priced for perfection

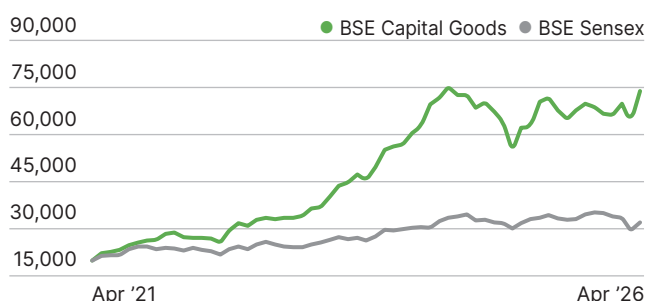
What drove the BSE Capital Goods index to become one of India's best-performing sector indices, and why the easy part may be over

To understand why capital goods rewarded patient investors so handsomely, you have to first understand why it punished them for so long. The index peaked in early 2008, riding the wave of India's infrastructure and construction boom. What followed was a collapse that took years to fully play out. By 2014, the index had shed roughly 40 per cent from that peak, even as the Sensex recovered and moved higher. Infrastructure developers and power companies had overinvested through the mid-2000s boom and were now drowning in debt. Banks had stopped lending. GDP growth, which had touched 9 per cent, halved to around 4.5 per cent. New projects dried up. The government, paralysed by coalition politics and a cascade of policy controversies, could not step in to fill the gap.

For capital goods manufacturers, this was particularly brutal. Companies that make turbines, transformers, cables, and defence equipment cannot pivot to another product when demand falls. Their entire business model depends on large, lumpy orders arriving with reasonable regularity. When those orders stopped, profitability collapsed, and valuations followed. Many of these companies spent years simply surviving rather than growing.

This is what makes the subsequent recovery so dramatic. The sector was not just growing from a normal base. It was recovering from a prolonged trough, which meant that when the cycle turned, earnings did not grow incrementally. They snapped back.

Index movement



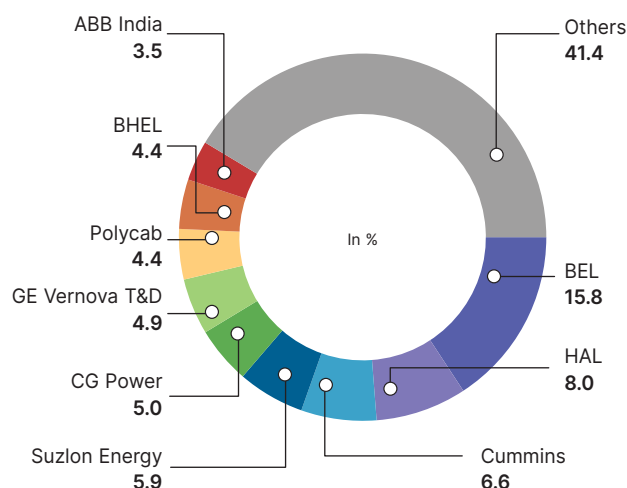
Aprajita Anushree/AI-generated image

The turn came from multiple directions at once. The government's infrastructure push across highways, railways, airports and metro rail created direct demand for engineering and construction equipment. The energy transition added another layer, as India's renewable energy ambitions meant rebuilding the transmission grid to carry that power to consumers. Grid upgrades require transformers, switchgear and high-voltage equipment that had seen almost no fresh investment for years. Demand surged precisely when domestic capacity to meet it was constrained. Defence added a third engine, as indigenisation redirected orders that had historically gone to foreign suppliers towards domestic manufacturers, bringing with them multi-year order cycles and revenue visibility the sector had not enjoyed in a long time.

None of these appeared to be passing trends, and the market priced that in. Investors were willing to pay more for every rupee of earnings than before. When both earnings and valuations rise together, the returns compound in ways that can look, from the outside, almost effortless.

But that is precisely the risk sitting in the index today. Government capex, which has been the backbone of this entire cycle, is not guaranteed to grow at the same pace indefinitely. Private investment, which was expected to pick up the baton as the cycle matured, has been slower to arrive. Any disappointment in order inflows or a shift in fiscal priorities could quickly expose how much optimism has already been built into prices. More importantly, even after accounting for genuine earnings growth, the index trades at a price-to-earnings (P/E) ratio of over 50 times. That is not the valuation of a sector where good news is still to be discovered. It is the valuation of a sector where a great deal of good news has already been priced in. At these levels, the margin for error is thin. ☒

Index weights



Company	Market cap (₹ cr)	P/E	P/B	Dividend yield (%)	1Y return (%)
GE Vernova T&D	1,04,276	97.6	43.9	0.1	178.1
Hitachi Energy	1,25,918	149.7	26.0	0.0	122.5
Cummins	1,39,682	62.3	16.8	1.0	74.1
KEI Industries	44,459	51.7	6.9	0.1	68.9
BEL	3,33,034	55.8	14.4	0.5	55.1
Waaree Energies	98,919	30.3	7.9	0.0	54.3
Polycab	1,18,947	45.3	10.6	0.4	49.1
BHEL	1,07,613	132.2	4.3	0.2	36.8
ABB India	1,45,954	87.5	18.6	0.6	28.1
Siemens	1,26,937	71.8	9.4	0.0	26.8

Data as of March 19, 2026. Top 10 companies by return that have a minimum weightage of 2 per cent in the index.

Key numbers

56.0

Price-to-earnings

14.7

Price-to-book

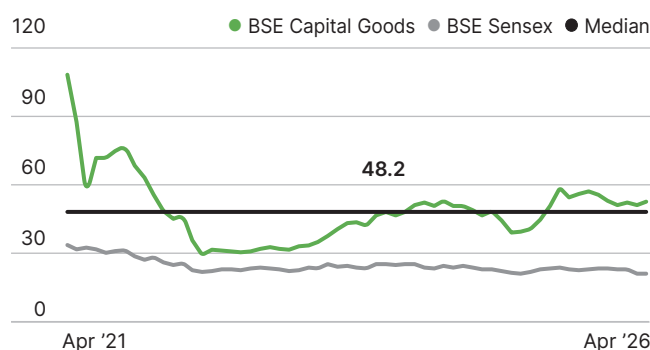
0.4

Dividend yield (%)

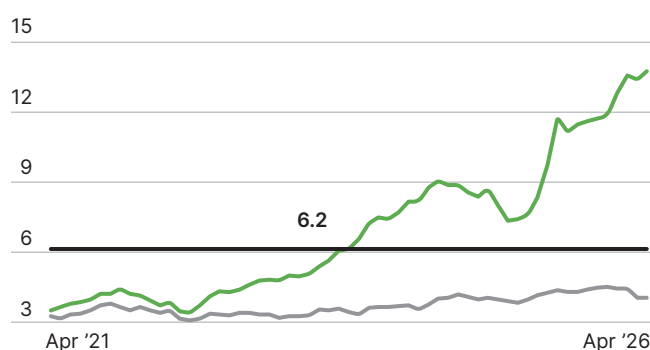
26.2

Market cap (₹ lakh cr)

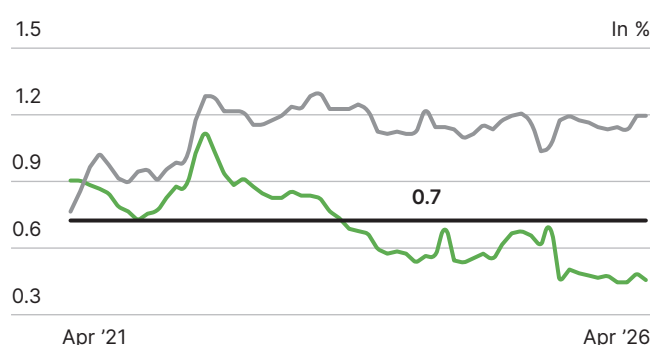
Price-to-earnings ratio (P/E)



Price-to-book ratio (P/B)



Dividend yield



Why Buffett sold his best

What portfolio discipline teaches us about the hardest skill in investing and why it matters more than stock picking



**By
Dharendra
Kumar**

Here is a paradox. Warren Buffett called Apple ‘a better business than any we own.’ He praised Tim Cook as the manager who had made Berkshire more money than he himself ever had. Earlier this year, he reportedly said, “I sold it too soon.”

And yet, starting in 2024, Buffett sold. Aggressively. By late 2025, Berkshire had sold nearly three-quarters of the position. Even after that, Apple remained their largest holding, worth about ₹5 lakh crore. The scale of that sell down surprised many observers who had come to see Apple as a permanent fixture in the Berkshire portfolio.

So, why did the greatest investor of our time sell his best stock while openly acknowledging it was his ‘best stock’?

The answer is a skill that matters far more than stock picking: portfolio discipline.

Buffett wasn’t selling because he had lost faith in the company or its products. He was selling because a single stock had grown to dominate his portfolio to an unhealthy degree. When one position accounts for over half your portfolio, you’re making a concentrated bet on a single company’s future, regardless of how confident you feel about that company. Even the most thoroughly researched conviction has limits. Even if that company is Apple.

This is a lesson most investors never learn, and it’s the one that costs them the most. We fall in love with our winners. A stock doubles, then triples, and we feel vindicated: “I bought Infosys in 2003” or “I’ve held Titan since the IPO.” Selling feels like betrayal. It feels like admitting a mistake, even when it isn’t one. The emotional pull of a stock that has rewarded you is surprisingly strong, and it works actively against rational decision-

making at precisely the moment when clear thinking matters most. Buffett, to his credit, overcame that pull.

But here’s the thing. If a single stock makes up half your portfolio and it falls 40 per cent, your entire portfolio drops 20 per cent. That is a devastating loss from a single decision, or more often, a single act of inaction. Think about Yes Bank in 2020. Anyone who had let it grow to half their equity portfolio watched a single stock wipe out years of carefully accumulated gains.



With Value Research Stock Advisor, you don't have to fight the battle of trimming winners. We handle that, applying the same disciplined portfolio management Buffett practised with Apple.

This is the asymmetry of risk that Buffett understood, and that most of us ignore until it's too late.

Tim Cook's departure from Apple this week brought this into sharp focus. A social media post argued that Cook took Apple from \$350 billion to \$4 trillion, yes, but in the same period, Microsoft grew 12 times, Google 20 times and Amazon 28 times. The post claimed Apple had every advantage in AI: Siri, user data, its own chips, and squandered them all.

Parts of that are unfair. Cook built Apple Services

into a \$100 billion business, an achievement that often goes underappreciated in the broader conversation about his legacy. But parts ring uncomfortably true. Apple had every advantage in AI and failed to capitalise on it in any meaningful way. The market barely flinched at Cook's departure, which itself speaks volumes.

The lesson? Even a company led by one of the most competent operators in business history can miss a technological revolution. No business, regardless of its brand strength, loyal customer base or accumulated financial advantages, is immune to disruption. If that can happen to Apple, it can happen to any company in your portfolio.

This is exactly the discipline we've built into **Value Research Stock Advisor**. Our three portfolios, **Long-term Growth**, **Aggressive Growth** and **Dividend Growth**, aren't just lists of good stocks. They're carefully constructed frameworks, where position sizing, diversification and ongoing monitoring are integral to the design. No single stock is ever allowed to grow so large that its fortunes alone determine yours.

Every month, our research team thoroughly reviews each portfolio. We evaluate whether companies remain fundamentally sound and whether the portfolio's overall risk profile has shifted in ways that require timely action. When changes are needed, we notify you immediately with clear, reasoned explanations so you always understand the thinking behind each decision.

You don't have to fight the emotional battle of trimming a winner. You don't have to worry about concentrated bets. We handle that, applying the same disciplined portfolio management that Buffett practised with Apple, except you don't need to be Buffett to benefit from it.

Buffett loved Apple. He also sold most of it. That is not a contradiction; that's discipline.

At **Stock Advisor**, we bring that discipline to your investments. At ₹9,990 a year, it's a small price for the peace of mind that comes from knowing your portfolio is being managed with the rigour that even the best investors struggle to maintain on their own.

The hardest part of investing isn't finding great companies. It's having the discipline to manage them properly once you've found them. ☒



Illustration: ANAND KUMAR

The dollar's twilight?

As the US dollar wobbles, Indian investors may need to rethink everything they assumed was stable



By
Anand
Tandon

The Indian rupee has depreciated significantly against the US dollar in recent weeks, even as the dollar itself has been under pressure against other currencies. In this era, as global politics shifts from a unipolar world to a more fragmented one, understanding the dollar's future path can be of significant importance to portfolios.

In this scenario, few books could be more timely for serious Indian investors than Kenneth Rogoff's *'Our Dollar, Your Problem: An Insider's View of Seven Turbulent Decades of Global Finance, and the Road Ahead'*. As the former Chief Economist of the International Monetary Fund and a professor at Harvard, Rogoff has spent his career documenting the 'eight centuries of financial folly' that led to market collapses. The book offers a sweeping analysis of the US dollar's post-war ascent, and the gathering clouds that could reshape the global monetary order.

The long walk to hegemony

The dollar's ascent begins in the aftermath of World War II, at the Bretton Woods Conference, where the United States emerged as the world's pre-eminent economic power. With Europe and Japan devastated, the US accounted for roughly half of the global GDP and held the bulk of the world's gold reserves. The Bretton Woods system institutionalised this dominance by pegging other currencies to the dollar, which, in turn, was

convertible into gold. Even after Richard Nixon ended gold convertibility in 1971, the dollar retained its centrality. It became the 'unit of account' for oil, the 'medium of exchange' for global trade and the 'store of value' for central banks.

The competitors

Rogoff details how the dollar systematically beat out competitors that, at various points, seemed poised to take the crown. The Soviet ruble, once an ideological rival, lacked the transparency and institutional trust required for global trade. The Japanese yen, which looked unstoppable in the 1980s, was derailed by the bursting of its own real estate bubble and subsequent decades of stagflation. Even the euro, designed specifically to be a heavyweight challenger, has been hampered by a lack of fiscal union, a 'currency without a country'.



Through these decades, the dollar remained the 'cleanest shirt in the laundry', supported by the deep, liquid capital markets of the US and a legal system that global investors trusted above all others.

This trust created what has often been described as an 'exorbitant privilege'. The US could borrow in its own currency at lower cost, run persistent current account deficits and export financial volatility to the rest of the world. For emerging markets, including India, this translated into a structural asymmetry: domestic economic cycles were often subordinated to the US monetary policy. When the Federal Reserve tightens, capital flows reverse, currencies weaken and financial conditions tighten globally.

The cracked anchor: Modern challenges

The key challenge to the dollar today is its 'weaponisation'. By using the SWIFT payment system and dollar-based sanctions as tools of foreign policy, the US has incentivised the rest of the world, most notably the BRICS nations, to seek alternatives.

But the greatest risks to dollar dominance are endogenous to the United States itself.

Fiscal profligacy: Rising public debt and pressures on central bank independence threaten to erode the institutional trust that underpins the system.

Inflation: Once thought vanquished, it has re-emerged,

The dollar persists not because it's flawless, but because the alternatives are structurally weaker. Moreover, the reserve currency is only as strong as the credibility of the institutions behind it, a risk often overlooked.

raising questions about the long-term purchasing power of dollar assets. As the Fed maintains 'higher for longer' rates to combat domestic inflation, the resulting 'dollar squeeze' threatens to bankrupt emerging markets that have borrowed heavily in greenbacks.

China's rise: Unlike previous challengers, China possesses the scale and the technological infrastructure (via the e-CNY) to offer a parallel system. The Chinese renminbi is today's most discussed contender, but Rogoff is clear: without full capital account convertibility, deep and transparent financial markets and strong institutional credibility, it cannot displace the dollar in any meaningful sense.

The rise of cryptocurrencies, digital settlement options and tokenised payment systems have their uses – for 'underground' transactions, for reducing friction and cost of cross-border trades and to bypass US-controlled channels and sanctions. Without sovereign backing, it is unlikely that these options will replace fiat currencies.

What emerges is a paradox. The dollar persists not because it is flawless, but because the alternatives are structurally weaker. There is also a political risk that is easy to underestimate: the reserve currency is only as strong as the credibility of the institutions behind it. Rogoff warns that reserve currencies do not collapse gradually; they lose credibility and then reprice abruptly.

Takeaways for Indian investors

India, as a major oil importer and emerging-market player, feels every tremor in the dollar-rupee equation. A stronger or more volatile dollar has historically pressured the rupee, inflating import bills and squeezing corporate balance sheets with foreign-currency debt. Foreign portfolio inflows, a key driver of Sensex rallies, can reverse sharply when US yields spike, as seen in past taper tantrums. Rogoff's analysis suggests this pattern may intensify rather than fade. Portfolio construction must adapt accordingly.



First, international diversification should no longer be viewed as optional. Allocations to global equities, particularly in the US, but also selectively in Europe and parts of Asia, remain essential. However, investors must increasingly think in terms of currency-adjusted returns. Hedging strategies, whether through currency ETFs or structured products, may become more relevant as exchange rate volatility rises.

Second, Rogoff's warnings about debt and inflation point toward a renewed importance for gold and high-quality real estate. Historically, gold has functioned as a hedge against both inflation and currency debasement. In a world where trust in fiat currencies may be periodically questioned, their role as non-sovereign stores of value becomes more important. Indian investors, already culturally predisposed toward gold, may consider a more systematic allocation rather than episodic purchases. Similarly, REITs that generate cash flows from real assets become more valuable than the speculative gains of growth stocks fuelled by cheap credit.

Third, domestic assets remain critical. India's structural growth story, driven by demographics, digitalisation and formalisation, provides a natural hedge against global instability. However, investors

For Indian investors, the message is clear: the dollar will remain the world's currency for the foreseeable future. However, it is now time to build a more resilient, diversified and more 'dollar aware' portfolio.

must recognise that India is not insulated from dollar cycles. Periods of dollar strength will continue to coincide with tighter domestic liquidity and market corrections. Additionally, with the rise of AI, the risk of the 'demographic dividend' turning into a nightmare remains elevated. Finally, the fixed-income strategy requires recalibration. With global inflation uncertainty higher than in the previous decade, duration risk must be managed actively. Allocations to inflation-protected instruments, floating-rate bonds or shorter-duration funds may be prudent.

For the Indian investor, the message is clear: the dollar will likely remain the world's currency for the foreseeable future, but it is increasingly becoming your problem. The time to build a more resilient, diversified and 'dollar-aware' portfolio is now, before the next cycle of global turbulence begins. 

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The market's misreading of Indian IT

AI disruption is genuine. However, treating every company as equally vulnerable is a mistake.



By
**Ashish
Menon**

There is a certain irony in the current narrative around Indian IT. Every large IT services company is now positioning itself as an AI company. But investors who own these stocks have been left unimpressed. Instead of a re-rating, the market has responded with a de-rating, selling on the fear that AI will hollow out the very business model that made Indian IT one of the great wealth compounding stories of the last two decades.

The fear is not irrational. But it is imprecise. And imprecision in markets creates opportunity for those willing to do the harder analytical work.

Pause here and ask the question that rarely appears in either the bullish brokerage notes or the bearish ones: what exactly is being disrupted and for whom? Because the AI threat to Indian IT is not equal. Treating every company in the sector as equally exposed is as sloppy as treating every company equally positioned to benefit.

The revenue machine and what threatens it

To understand why, you need to understand where Indian IT actually earns its money. Strip away the platform narratives and the GenAI brochures and the revenue base looks remarkably similar to what it looked like a decade ago. The single largest category by a wide margin is managed services and application management: running a client's IT operations on their behalf, fixing software when it breaks, answering employee technology queries, watching over servers and

systems around the clock, and keeping ageing software alive. Think of it as the housekeeping function of a large organisation's technology estate.

This is precisely the category that AI is now learning to do on its own.

A new generation of AI-powered monitoring tools can do what required rooms full of analysts previously: sift through thousands of system alerts simultaneously to pinpoint a problem before it causes disruption, predict when a server is about to fail, automatically direct a support ticket to the right team and resolve routine employee IT complaints, password resets, software installation requests, basic troubleshooting without a human ever getting involved.

The financial implication is direct. A contract that previously required 500 people may require 300 to 350 once these tools are fully deployed. That is a 30 to 40 per cent reduction in the workforce billed against each contract. In a business model that charges clients based on the number of people deployed, this translates to a 30 to 40 per cent decline in revenue for the same scope of work.

The bigger irony is that the companies building these AI tools are the very same companies whose software Indian IT has spent years implementing and managing for clients. ServiceNow, a platform that Indian IT companies install and run for large corporations, is now building AI agents that autonomously resolve support tickets that those installations were designed to route to human agents. The platform is automating its own service layer.

There is another problem the market hasn't even

AI-driven fear isn't irrational. But it is imprecise. And imprecision creates opportunities. This is because the impact of AI isn't uniform. Some IT companies may be exposed, while others stand to benefit.



Illustration: ANAND KUMAR

likely priced yet: the cost of transition. Re-training a workforce of 3 lakh people towards AI-relevant capabilities is a problem of entirely different scale from re-training a firm of 30,000. Separately, once clients see the productivity gains AI has delivered to their service providers will demand that the savings be passed on in lower prices, creating pricing pressure.

The distinction that separates the winners

Here is an important distinction that retail investors rarely have access to: the difference between a product where AI is the core engine and a product where AI is simply a new feature added on top.

In the first category, remove the AI and the product stops working. An AI-powered search engine like Perplexity cannot function without the model at its centre. The AI is not a feature but the product itself.

In the second category, remove the AI and the underlying product continues to function perfectly well. The AI adds convenience but the core product is unchanged. Most of what large enterprise software companies are currently marketing as AI transformation falls here. But it is the first category where the more compelling opportunities in the long run will emerge.

Where the genuine opportunity is

The most defensible near-term opportunity today is in helping enterprises get their data ready for AI. AI systems are brutally unforgiving of poor data. Before any large company can deploy AI meaningfully, it must first bring together scattered information, clean and standardise years of inconsistent records and build a unified data foundation capable of supporting AI workloads. This is unglamorous, painstaking work. It is also the primary reason enterprise AI deployments are

running behind schedule. This does not neatly sit in either category discussed earlier. It is simply the precondition for AI to work at all.

The second genuine opportunity is in regulated industries. A bank deploying AI to decide who qualifies for a loan cannot simply switch a model on and walk away. It must demonstrate to regulators that the model does not discriminate unfairly, keep a complete audit trail of every decision the model makes and be able to explain the model's reasoning in plain language when a regulator asks. This work is largely service-related. But regulatory knowledge, gathered across enough deployments, can become differentiated. Done right, it can cross into the first category.

The third and most transformational opportunity is building proprietary software products using the deep industry knowledge accumulated over years of service work. This sits firmly in the first category. A software product is a fundamentally different business from a services contract. A services contract requires constant human effort. A software product licence, once sold, generates recurring income that compounds. Even if product revenue reaches 10 to 15 per cent of a major IT company's total, the impact on profitability is disproportionate as software margins are two to three times higher than in services.

How to evaluate Indian IT stocks today?

For retail investors, the useful question is not which IT company is embracing AI fastest. It is this: what percentage of this company's revenue comes from work that AI can replicate and what percentage comes from work that requires accumulated knowledge no AI can easily substitute?

Revenue concentrated in routine IT operations, basic

The Indian IT story isn't one of uniform decline. But the current narrative, which has applied a blanket de-rating, is as much a simplification as the earlier blanket optimism was.

software maintenance and technology support sits directly in the path of automation. Companies with heavy exposure here and no credible plan to shift the revenue mix are carrying structural risk that their current earnings do not yet fully reflect.

Revenue concentrated in the three opportunities above: data infrastructure, regulatory compliance work and proprietary software is far more defensible. Among large companies, HCL's IT infrastructure services and Infosys' data platform work offer near-term strength. Among smaller ones, Persistent Systems has built genuine AI depth earlier than most peers. Focused tier-2 companies with deep industry specialisation are better placed than their current valuations suggest.

Right fear, wrong conclusion

The Indian IT story is not one of uniform decline. The sector is capable, deeply embedded in global enterprise operations and too adaptable for that conclusion. But the current market narrative, which has applied a blanket de-rating across the sector on AI disruption fears, is as much a simplification as the earlier blanket optimism was.

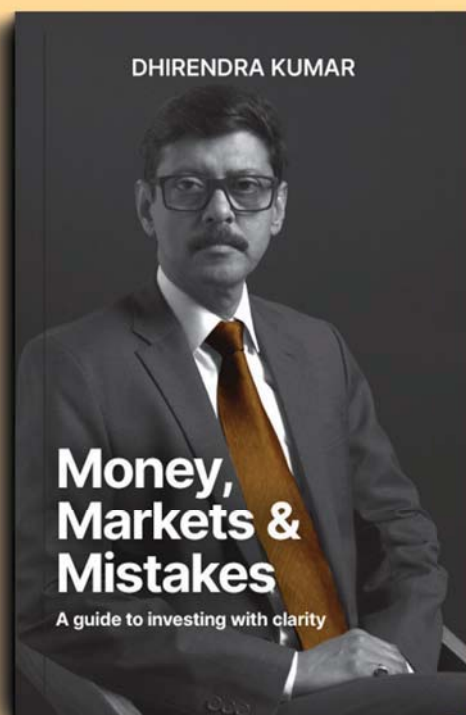
What is actually underway is a differentiation cycle. Some companies will build genuinely new categories of value through industry depth, proprietary products and AI-enabled transformation that clients cannot replicate or buy elsewhere. Others will deploy AI to become more efficient at the same work, face eventual pricing pressure on that efficiency gain and find themselves in the same structural position five years from now but with less room to manoeuvre.

The market is currently pricing the sector as though every company belongs in the second group. The task for investors is to identify the companies that belong in the first. Not every Indian IT company will navigate this transition well. But the market in its current pessimism is assuming almost none of them will. Both conclusions are wrong and the distance between them is the opportunity. ☑

Ashish Menon is a Chartered Accountant (CA), a CFA charterholder and Senior Equity Analyst at Value Research Stock Advisor

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When oil bites back

What high Brent crude prices really mean for India



By
**Advait
Arora**

Brent crude has been hovering between \$90 and \$110, and there is a growing view that this may not be temporary. For an economy importing nearly 85 per cent of its oil, even a \$10 move in crude changes the macro math in ways that take months to show up but years to fully absorb.

India's oil import bill was already around \$132 billion in FY24, roughly 4 per cent of GDP and larger than the combined allocation for health and education in the Union Budget. At \$100 crude, India is effectively writing a \$40-\$50 billion additional cheque every year, roughly the size of its entire annual health budget, pushing the trade deficit from 2.5 per cent of GDP toward 4 per cent. Every \$10 rise in Brent adds approximately ₹1.1-1.3 lakh crore to the annual import bill. The last time crude stayed above \$100 for a sustained period was 2011 to 2013, when India's current account deficit crossed 4 per cent of GDP, the rupee lost nearly 20 per cent of its value over 18 months and the government was forced into emergency monetary tightening. That period is worth remembering.

The rupee: Where it shows up first

Oil is priced in dollars, and when oil gets expensive, India needs more dollars. This instantly puts pressure on the rupee. And once it starts, it keeps building. Historically, the rupee has weakened by 2 to 4 per cent during sharp crude upcycles. With the currency already trading in a stressed range, a sustained oil shock could push it to ₹95-100 per dollar. At that level, the cost of everything India imports goes up, machinery, electronics, pharmaceuticals, all adding a

layer of inflation that is hard to control with any single policy move.

What this means for fertilisers

Crude does not stay limited to fuel. It works its way into far more parts of the economy than most people track.

Fertilisers such as urea and DAP are produced from natural gas derivatives, and their prices closely track energy markets. Around 40 to 45 per cent of India's fertiliser imports come from Iran and Russia, both facing supply disruptions right now. The government budgeted ₹1.68 lakh crore for fertiliser subsidies this fiscal year. If crude stays in the \$90 to \$110 range, that figure could rise by ₹20,000-40,000 crore. Crop yields, particularly *kharif*, could fall by 5 to 10 per cent in a stressed scenario. Food inflation would then follow with a lag of 2-3 months, hitting households that spend 45 to 55 per cent of their monthly budget on food the hardest.

Where the pressure builds

Diesel accounts for 60 to 65 per cent of road freight in India. Even a ₹2-3 increase per litre shows up directly in logistics costs, and freight rates typically move up 5 to 10 per cent when diesel stays elevated for more than a quarter. That cost eventually gets passed on in the form of marginally higher prices on goods that never make the headline CPI number but chip away at purchasing power over time.

Aviation carries even more direct exposure, with ATF (aviation turbine fuel) accounting for 35-40 per cent of an airline's operating costs. Tyres source 30-35 per cent of their raw material costs from crude derivatives. Paints and coatings carry 25-30 per cent exposure. The broader petrochemical

With the rupee already trading in a stressed range, a sustained oil shock could push it to ₹95-100 per dollar. In turn, everything India imports becomes more expensive, adding a layer of inflation that is hard to control.



Illustration: ANAND KUMAR

chain feeding into plastics, packaging and synthetic fibres is almost entirely indexed to oil. If Brent averages \$100 instead of \$70, the cascading cost increases across these sectors start affecting industrial margins on top of the direct fuel impact, and the two compound each other.

The fiscal position

The Union Budget for FY26 was built when crude was trading well below current levels. The government has two options now. It absorbs the oil price increase through subsidies and under-recoveries, which widens the fiscal deficit. Or it passes the price on at retail, where a ₹5-8 increase in diesel alone can add 40-50 basis points to inflation over two quarters, slowing both consumption and investment. RBI has estimated that a 10 per cent rise in crude oil prices would push CPI up by 20 to 30 basis points and shave 0.5-1 percentage point off GDP growth. That makes monetary policy harder to manage: cutting rates to support growth risks stoking inflation, while holding rates risks slowing an economy already absorbing an external shock.

The Russian discount is now shrinking

India has been buying discounted Russian crude since 2022, with discounts ranging from \$10-\$15 per barrel below Brent. That cushion is real and has helped. But the discount has been narrowing as more buyers compete for the same barrels, and Russia's own fiscal pressures have reduced its willingness to offer steep concessions for long. At a 10 per cent discount with

Brent above \$100, India is still paying close to \$90 per barrel, well above what the current budget arithmetic was built around.

The bottom line

If elevated crude becomes the new baseline rather than a temporary condition, India faces pressure across several fronts at once. The rupee could weaken another 5 to 8 per cent from current levels. The fertiliser subsidy bill could overshoot by ₹25,000-40,000 crore. The trade deficit edges toward 4 per cent of GDP. CPI inflation drifts 50 to 80 basis points above where it would otherwise settle. Individually, none of these breaks the economy. Together, over two or three years, they start slowing the growth momentum in ways that show up in investment decisions, job numbers and household balance sheets long before they appear in any official statistic.

When crude stays elevated for an extended period, the market starts adjusting for three things: oil marketing companies facing margin pressure, fertiliser and chemical stocks dealing with higher input costs and the broader consumption story slowing as household purchasing power erodes. The question worth asking is whether your portfolio has enough protection against what sustained high oil prices do to everything else. ☒

Advait Arora, known famously as 'Wealth Enrich', is an independent investor with over two decades of experience. He also holds a Master's in IT management and an MBA. The views expressed herein are personal and for informational and educational purposes only.

Reasonably-priced growth

Investing in growth companies is ideal but one must not overpay for them. This is where this screen comes into the picture.

Tired of spending hours sifting through the vast listed universe? You need a reliable stock screener for the same. It can help you get a list of promising stocks that deserve your attention with just a few clicks. Once you have a manageable list, you only need to research them further to find the ones worth investing in.

Value Research offers several carefully curated stock filters that can pick the most attractive companies from the listed Indian universe. In this issue, we cover the 'reasonably priced growth stocks' screen in detail. We have also given a concise list from the other screens. To view all the companies, visit www.valueresearchonline.com/stocks-screener/

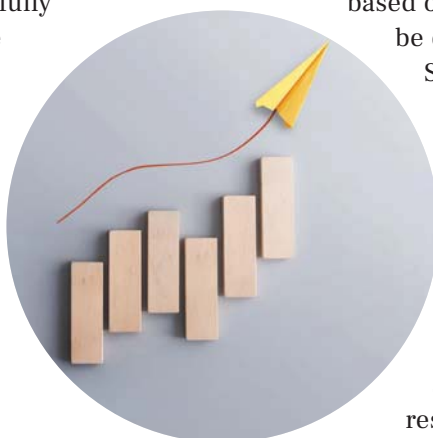
What does this screen offer?

Growth companies are those that, as you may have guessed, in the growth phase. It means that they are expanding, growing their revenues and profits, and hence their share prices tend to follow the course of the underlying business. Growth investing is perhaps the most popular form of

investing. The main problem with growth stocks is that their valuations also tend to be high, as growth commands a valuation premium.

As an investor, your job is to pick wealth-creating stocks at a fair or less than fair value. This is what this screen is all about. It combines earnings growth and low valuations. However, do note that this is based on past performance. Your returns will be determined by future performance.

So, don't forget to consider the future prospects of the companies on the list.



Adobe Stock

A word of caution

Note that mere inclusion in a stock screen does not mean that a company is investment-worthy.

Consider the output of stock screens as the starting point for your research. You must apply your own analysis to select companies. However, if

you are interested in a list of stocks to invest in right away, then subscribe to our recommendation service at **Value Research Stock Advisor**. You can access the details by visiting our website www.valueresearchstocks.com

Key terms

Market cap

Stands for 'market capitalisation'. Obtained by multiplying the stock price by the total number of shares. Shows a company's market value or size.

Price to earnings (P/E)

The ratio of the stock price and earnings per share (EPS). It shows in multiples how much investors are willing to pay for a share in a company's earnings. Note that a high-growth stock often will have a high P/E

ratio, while a value stock will have a relatively lower P/E ratio.

P/E to earnings growth (PEG)

The ratio of P/E to the five-year EPS growth of the stock. Shows how high a price we are paying for the growth that we are purchasing. A PEG of less than one indicates an attractively priced stock.

Quarterly EPS growth (%)

The YoY growth rate of the quarterly EPS.

TTM EPS growth (%)

The YoY growth rate of the trailing 12-month EPS.

5Y EPS growth (% pa)

The five-year annualised growth rate of the EPS.

Stock Rating

Value Research Stock Rating combines the three scores (quality, growth and valuation) based on assigned weights to arrive at a holistic stock rating. We have created a five-star rating system. The higher the stock rating, the better.

Stock style

Derived from a combination of the stock's valuation – growth or value – and its market capitalisation – large, mid and small. For example, below is the stock style of a large-cap growth stock.

Growth Value	
	Large
	Mid
	Small

Growth at reasonable P/E

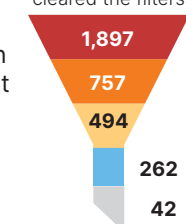
Reasons to invest

- All-weather style
- Companies with strong fundamentals
- Greater stability vis-a-vis value or growth

The filters

- Market cap more than ₹500 crore
- Quarterly EPS growth more than 20 per cent (YoY)
- TTM EPS growth more than 20 per cent
- 5Y annual EPS growth more than 20 per cent
- P/E between 1 and 15

No. of companies that cleared the filters



Company Industry	Stock style	Stock Rating	P/E	PEG	Qtly. EPS growth (%)	TTM EPS growth (%)	5Y EPS growth (% pa)	Market cap (₹ cr)	Share price (₹)	52-week high/low (₹)
Abans Financial Services Financial Services - Div.	■ ■ ■ ■ ■	★★★★★	8.0	0.5	23.3	37.2	21.8	1,029	203	270 - 175
Aptus Value Housing Mortgage/Housing Finance	■ ■ ■ ■ ■	★★★★★	13.8	0.6	23.8	25.3	27.5	12,266	245	364 - 193
Arihant Foundations Real Estate Development	■ ■ ■ ■ ■	★★★	14.0	1.0	78.5	95.5	53.2	947	908	1,100 - 900
Ashoka Buildcon Construction & Eng. Div.	■ ■ ■ ■ ■	★★★★★	1.3	0.1	222.6	87.8	60.3	3,750	134	231 - 101
BCL Industries Edible Oil	■ ■ ■ ■ ■	★★★	8.3	0.4	67.4	24.0	22.2	968	33	49 - 26
Bharat Petroleum Oil & Gas - Diversified	■ ■ ■ ■ ■	★★★★★	5.6	0.1	88.9	79.2	41.3	1,37,140	316	392 - 267
Central Bank Of India Banks - Diversified	■ ■ ■ ■ ■	Unrated	6.6	0.9	25.9	28.4	34.9	32,404	36	41 - 31
Chennai Petroleum Oil & Gas Refining & Marketing	■ ■ ■ ■ ■	★★★★★	7.0	0.1	4,719.9	478.1	27.2	15,010	1,008	1,103 - 587
Cigniti Technologies IT Services & Consulting	■ ■ ■ ■ ■	Unrated	11.5	0.7	25.3	94.8	22.8	3,471	1,263	1,930 - 997
D.P. Abhushan Gems & Jewellery	■ ■ ■ ■ ■	★★★	13.6	0.3	94.6	77.3	49.1	2,534	1,108	1,730 - 922
Dilip Buildcon Construction & Eng. Div.	■ ■ ■ ■ ■	★★	5.2	1.6	548.0	170.8	31.2	7,310	449	585 - 382
Elpro International Real Estate Services	■ ■ ■ ■ ■	★★★★★	9.4	0.0	546.0	125.6	66.9	1,752	103	106 - 86
Gandhar Oil Oil & Gas Exploration and Prod.	■ ■ ■ ■ ■	★★★	13.2	0.1	67.6	37.2	46.0	1,402	143	184 - 115
GE Power India Construction & Eng. Div.	■ ■ ■ ■ ■	★★	11.0	-	489.2	369.4	34.4	3,339	498	552 - 212
GOCL Corporation Explosives	■ ■ ■ ■ ■	★★★	1.1	-0.1	127.6	957.3	86.6	1,660	338	418 - 223

STOCK SCREEN

Company Industry	Stock style	Stock Rating	P/E	PEG	Qtly. EPS growth (%)	TTM EPS growth (%)	5Y EPS growth (% pa)	Market cap (₹ cr)	Share price (₹)	52-week high/low (₹)
Indian Hume Pipe Plastic Tubes & Pipes		★★★★★	2.8	0.5	328.2	502.6	81.4	1,706	324	479 - 280
Indian Oil Corporation Oil & Gas - Diversified		★★★★★	5.8	0.2	514.9	236.6	49.2	2,07,300	147	189 - 130
Indian Overseas Bank Banks - Diversified		★★★	13.5	1.1	53.4	50.9	48.0	66,859	35	43 - 31
Indosolar Semiconductor Equipment		★★★★★	9.2	0.1	305.2	2,366.0	211.0	2,247	541	725 - 165
Integrated Industries Tech. Equipment & Parts		★★★★★	9.8	0.1	77.4	789.2	121.7	849	36	46 - 17
Iris Business Services Software		★★★★★	4.0	0.7	45.9	702.1	91.4	501	243	427 - 203
Jay Bharat Maruti Auto Ancillaries		★★★★★	12.6	0.5	369.0	242.0	38.4	1,019	94	116 - 58
Jindal Poly Investment Invst. Management - Div.		★★★★★	1.3	0.0	2,000.1	171.3	68.3	1,193	1,136	1,488 - 716
Kamdhenu Iron & Steel		★★★★★	8.0	0.2	1,543.7	54.7	40.9	621	22	36 - 16
Karur Vysya Bank Banks - Diversified		★★★★★	11.5	1.0	39.0	21.9	46.4	26,539	275	343 - 170
Mangalore Refinery Oil & Gas Refining and Mktg.		★★★	14.5	0.4	369.1	164.3	22.9	31,547	180	212 - 120
Manoj Vaibhav Gems Gems & Jewellery		★★★	7.6	0.3	36.6	20.5	24.5	863	177	280 - 129
Nile Lead Ore		★★★	9.8	0.2	36.2	56.8	44.9	504	1,700	2,215 - 1,215
Onward Technologies IT Services & Consulting		★★★★★	12.3	0.2	69.1	93.5	72.1	556	245	385 - 208
Pocl Enterprises Diversified Chemicals		★★★	14.2	0.2	37.4	59.3	75.4	575	186	290 - 142
Radhika Jeweltech Gems & Jewellery		★★★	10.0	0.3	34.8	35.5	36.2	784	66	112 - 50
Rashi Peripherals Online and Direct Retailing		★★★	12.8	0.5	131.0	24.5	26.3	3,130	474	488 - 261
Sharda Motor Auto Ancillaries		★★★★★	14.5	0.3	115.7	42.1	49.6	4,937	861	1,248 - 700

Data as of April 19, 2026. For the full list, scan the QR code on the right.



Want more? Here you go

Other screens available on the Value Research website, along with their themes and some of their stocks

		P/E	P/E
High momentum large caps Gives a list of large caps that are in vogue right now		ABB India	91.9
		Adani Power	34.3
		Canara Bank	7.0
		Coal India	9.1
		Eicher Motors	37.1
		Hindalco Industries	14.2
		ONGC	9.4
		Polycab India	47.1
		Tata Steel	28.8
		Union Bank Of India	7.6

High momentum mid caps Gives a list of mid caps that are in vogue right now		Apar Industries	49.4
		APL Apollo Tubes	52.2
		AU Small Finance Bank	32.3
		BSE	64.7
		Indian Bank	10.9
		Indus Towers	14.9
		Lupin	22.9
		Bank Of Maharashtra	8.8
		National Aluminium Company	12.8
		The Federal Bank	17.8

High momentum small caps Gives a list of small caps that are in vogue right now		ABC Gas	155.0
		Aeroflex Industries	81.5
		Dr Agarwals Eye Hospital	33.0
		Gokul Agro Resources	20.2
		IIFL Capital Services	16.9
		Jamna Auto Industries	26.0
		Nitta Gelatin India	9.5
		One Global Service	19.1
		R R Kabel	36.7
		Steelcast	33.5

Cheap quality stocks Quality stocks currently available at cheap valuations		Expleo Solutions	12.3
		Federal-Mogul Goetze	13.7
		Hindalco Industries	14.3
		KP Energy	16.1
		MSTC	15.0
		National Aluminium Co	12.7
		Paradeep Phosphates	14.5
		Pocl Enterprises	14.3
		Sagility	23.4
		Sportking India	14.8

Book value discount Stocks that are trading at a discount to their book values		Bank Of Baroda	0.9
		CSL Finance	0.9
		Jana Small Finance Bank	0.9
		Jindal Drilling & Industries	0.9
		Jindal Poly Investment	0.5
		Maithan Alloys	0.7
		Oswal Agro Mills	0.7
		PTC India	1.0
		Punjab National Bank	0.9
		The South Indian Bank	0.9

For all the screens and to customise them as per your requirements, visit

● Stock Rating ● Value Guru screens ● Easy peer comparison

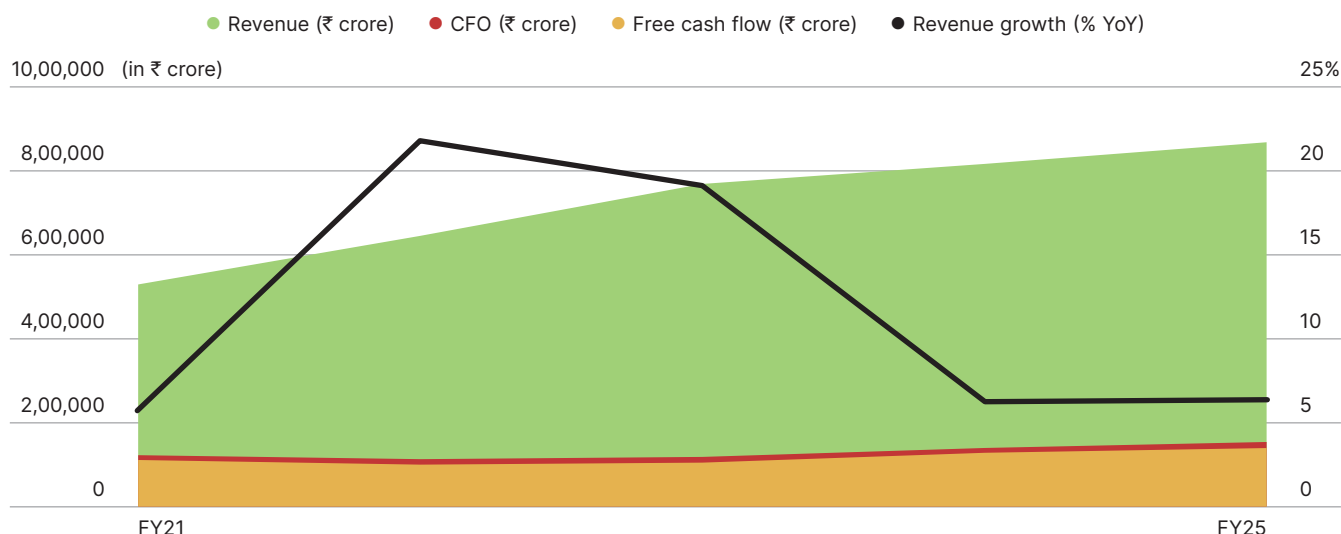
www.valueresearchonline.com/stocks-screener/

Down, not dusted

Despite deep price cuts, India's IT companies continue to mint cash

Steady growth

Through booms and slowdowns, the cash never stopped flowing

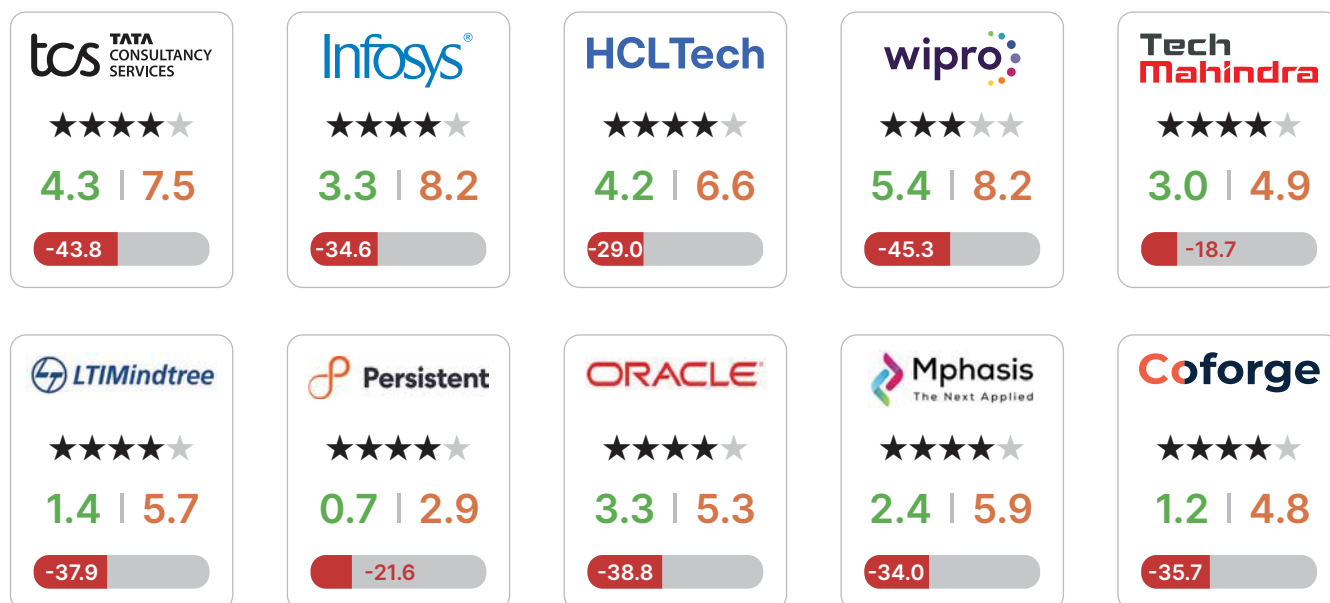


CFO is 'cash flow from operations'. Free cash flow is CFO minus capex. For all companies in the BSE IT index.

The discount table

Priced like the good times are over

● Stock rating ● Dividend yield (%) ● Earnings yield (%) ● % down from all-time high



Top 10 companies by market cap in the BSE IT index. Data as of April 20, 2026.

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Systematic Investment Plan is a facility offered by Mutual Funds which enables investors to invest a fixed amount at a specified interval into a particular fund.

STP

Systematic Transfer Plan is a facility wherein an investor can opt to transfer a fixed amount at regular intervals from one scheme to another, at a predefined frequency.

SWP

Systematic Withdrawal Plan is a facility that allows you to withdraw a fixed amount from an existing mutual fund at a predetermined interval.

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